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July 14, 1997

To: Members of the Executive Board

From: The Secretary

Subject: **Senegal—Staff Report for the 1997 Article IV Consultation
and Midterm Review Under the Third Annual Arrangement
Under the Enhanced Structural Adjustment Facility**

Attached for consideration by the Executive Directors is the staff report for the 1997 Article IV consultation with Senegal and the midterm review under the third annual arrangement under the Enhanced Structural Adjustment Facility, which is tentatively scheduled for discussion on Monday, July 28, 1997. A draft decision appears on page 16.

Mr. Coe (ext. 38984), Ms. Fouad (ext. 34157), or Mr. M. Lewis (ext. 38027) is available to answer technical or factual questions relating to this paper prior to the Board discussion.

Unless the Documents Preparation Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Tuesday, July 22, 1997; and to the African Development Bank (AfDB), the European Commission (EC), the Islamic Development Bank (IsDB), and the West African Economic and Monetary Union (WAEMU), following its consideration by the Executive Board.

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SENEGAL

**Staff Report for the 1997 Article IV Consultation
and Midterm Review Under the Third Annual Arrangement
Under the Enhanced Structural Adjustment Facility**

Prepared by the African Department

(In consultation with the Fiscal Affairs, Legal,
Monetary and Exchange Affairs, Policy Development and Review,
Statistics, and Treasurer's Departments)

Approved by Evangelos A. Calamitsis and Oleh Havrylyshyn

July 14, 1997

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EXECUTIVE SUMMARY

Recent developments

- Senegal's achievements during the three-year ESAF period have been considerable. The implementation of the medium-term adjustment and reform strategy has been largely satisfactory.
- The quantitative and structural performance criteria and benchmarks for end-March 1997 and the structural benchmark for end-June 1997 were observed, except in some cases where the relevant actions were taken with delay.
- Economic growth is estimated to have increased to 5 ½ percent in 1996, well above the initial program objective, and it is projected to remain relatively strong in 1997 despite a substantial, weather-related decline in agricultural output. Inflation remains low and stable. The external current account deficit narrowed more than expected in 1996, mainly reflecting an improvement in the services balance, and is estimated to decline further in 1997.
- The fiscal targets for 1997 are expected to be met. Current government spending has been restrained, and revenue collection during the first quarter of 1997 was somewhat higher than the program target.
- Steps have been taken to speed up the pace of implementation of the privatization program. The government is committed to implementing the energy sector reform program agreed with the World Bank in February 1997.

Senegal: Selected Economic and Financial Indicators, 1994-99

	1994	1995	1996 Prog.	1996 Est.	1997 Prog.	1997 Proj.	1998 Prog.	1999 Prog.
	(Percentage change)							
Real GDP	2.0	4.8	5.2	5.6	4.5	4.7	4.8	4.8
CPI (average)	32.1	8.1	3.0	2.8	2.5	2.5	2.5	2.5
Broad money	37.8	7.7	3.1	8.4	5.3	9.3	9.6	7.1
	(In percent of GDP)							
Overall fiscal balance 1/	-5.7	-3.2	-1.9	-2.0	-1.0	-1.1	0.0	0.9
External current account balance 1/	-9.3	-7.9	-8.0	-7.2	-6.7	-6.3	-5.4	-4.8

1/ Excluding grants.

Issues emphasized in the staff appraisal

- The need to persevere with the implementation of all measures envisaged in the program.
- The need to pursue fiscal consolidation by improving government revenue performance and continuing to restrain low-priority current expenditures to create room for increased outlays on high-priority areas such as education, health, basic infrastructure, and the judicial system.
- The urgency of strengthening the structural reform process by fully carrying through on the steps that have been taken to make up for delays in the reform of the energy sector and to reestablish momentum for the privatization program. A stronger track record of implementation will enhance credibility for the government's reform program and bolster private investor confidence.
- The need to deepen financial intermediation to better mobilize savings, ensure a more efficient allocation of credit, and increase the availability of credit to small businesses, the informal sector, and rural areas. It is particularly important to improve the application of business law by ensuring the prompt enforcement of contracts, and to enhance the training of judges and magistrates in financial matters.

I. INTRODUCTION

1. The Fund has been supporting Senegal's medium-term adjustment and reform strategy through a three-year arrangement under the enhanced structural adjustment facility (ESAF) approved in August 1994. Discussions for the midterm review of the program underlying the third annual ESAF arrangement and for the 1997 Article IV consultation were carried out in Dakar during May 5-20, 1997.¹ In the attached letter to the Managing Director dated May 20, 1997 (Appendix II), the Minister of Economy, Finance, and Planning of Senegal reviews progress in 1996 and early 1997, and sets out the measures to be implemented during the remainder of 1997 to achieve the objectives of the program.

2. The third annual ESAF arrangement was approved by the Executive Board on January 13, 1997 in an amount equivalent to SDR 35.7 million (30 percent of quota). All loans provided under the first two annual arrangements, as well as the first semiannual loan (SDR 17.8 million) under the third annual arrangement, were disbursed; availability of the second semiannual installment is contingent upon observance of the performance criteria and completion of the midterm review. If the remaining disbursement under the third annual ESAF arrangement, and all repurchases and loan repayments, are made as scheduled, Senegal's use of Fund resources would decline from SDR 241.3 million at the end of March 1997 to SDR 218.8 million (184 percent of quota) by the end of December 1997. Senegal's relations with the Fund are summarized in Appendix III. Senegal is on the standard 12-month consultation cycle. The last Article IV consultation was concluded on June 28, 1996 on a lapse-of-time basis.

3. The World Bank has been supporting Senegal's development efforts through structural and sectoral adjustment lending, including a private sector adjustment and competitiveness credit and an agricultural sector adjustment credit, both approved in 1995, and an investment project for the restructuring of the urban transport system, approved in June 1997. Discussions are continuing on an investment program for the health sector and an adjustment credit for the energy sector. A public expenditure review will be completed this year focusing on the education, health, and judicial sectors. The International Finance Corporation, which opened an office in Dakar in February 1997 supplementing the long-established World Bank

¹The Senegalese representatives included Mr. Sakho, the Minister of Economy, Finance, and Planning; Mr. Loum, the Minister Delegate in charge of the Budget; Mr. N'Diaye, the National Director of the Central Bank of West African States (BCEAO); and other senior government officials. Prime Minister Thiam also received the mission. The staff representatives were Mr. Coe (head), Mr. De Vrijer, Ms. Fouad, Mr. Lewis, Mr. Rother (EP)(all AFR), and Ms. Blanco (assistant-ADM). Mr. François (AFR) participated in the final discussions. Mr. Thiam, the Fund's resident representative in Senegal, assisted the mission. Mr. Yao, Executive Director for Senegal, and World Bank staff participated in some of the discussions.

office, is financing an electricity generating project. Senegal's relations with the World Bank Group are summarized in Appendix IV.

II. BACKGROUND AND RECENT DEVELOPMENTS

4. Senegal's medium-term adjustment and reform strategy seeks to establish the conditions for strong and sustainable economic growth led by the private sector in order to reduce poverty and consolidate domestic and external financial viability. **The authorities' implementation of this strategy, including observance of the performance criteria and benchmarks specified in the three-year ESAF-supported program, has been largely satisfactory.** The most recent quantitative performance criteria and benchmarks for the end of December 1996 and the end of March 1997 were observed, except for the end-December benchmark for government revenue, which was missed because of a shortfall in privatization revenue. The actions subject to the structural performance criteria and benchmarks for the end of March were also implemented, albeit in some cases with delay; a waiver is being requested for the nonobservance of one structural performance criterion.² The structural benchmark for the end of June was observed.

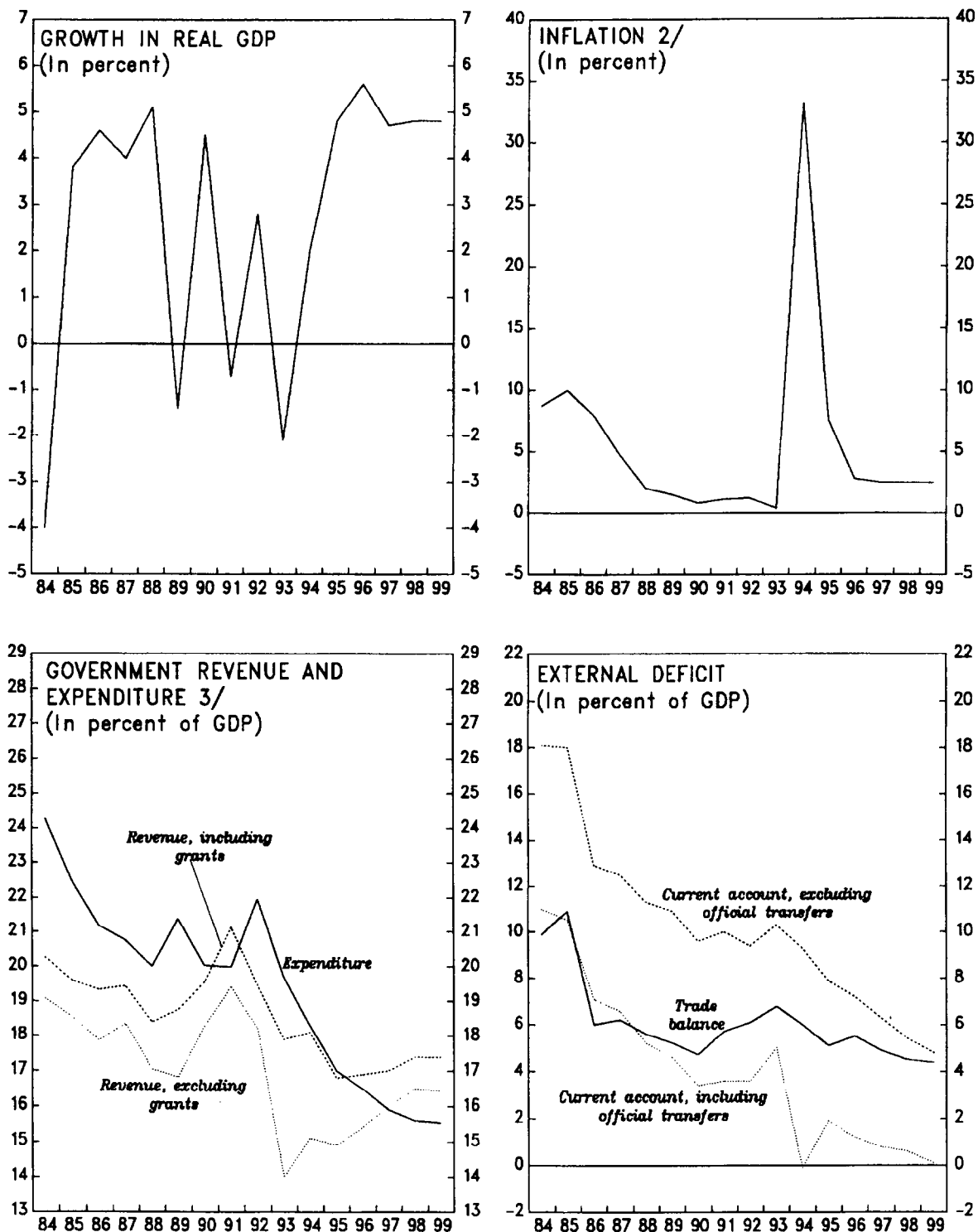
5. **Economic developments under the ESAF-supported program have been encouraging.** Real GDP growth has averaged more than 4 percent during the past three years, and standards of living--as measured by the growth of real per capita GDP--have started to rise (Figure 1). These developments stand in marked contrast to the stagnation of the late 1980s and early 1990s. Real GDP is estimated to have increased by about 5½ percent in 1996, well above the original program objective of 4½ percent (subsequently revised to 5¼ percent), reflecting a bountiful agricultural harvest, a further strengthening of construction activity, and continued robust growth in commerce and other private services. Recent indicators suggest that nonagricultural output--including construction, commerce, mining, and tourism--remained strong in the first quarter of 1997.

6. **Inflation has abated rapidly** following the sharp increase in prices in 1994 associated with the devaluation of the CFA franc. The 12-month rate of increase in the consumer price index for Dakar fell from about 8 percent in 1995 to 2¾ percent in 1996, and has remained broadly stable at a low level in the first five months of 1997.

²The report on the strengthening of the tax and customs administration was completed in March but delivery to the Fund staff, which was a structural performance criterion for end-March, was inadvertently delayed until mid-April. In addition, the quarterly indicators on the execution of the public investment program were not received until April, and the study on the prospective reform of the pricing and taxation of petroleum products was not completed until the middle of May.

Figure 1

SENEGAL
MAIN ECONOMIC INDICATORS, 1984-99 1/



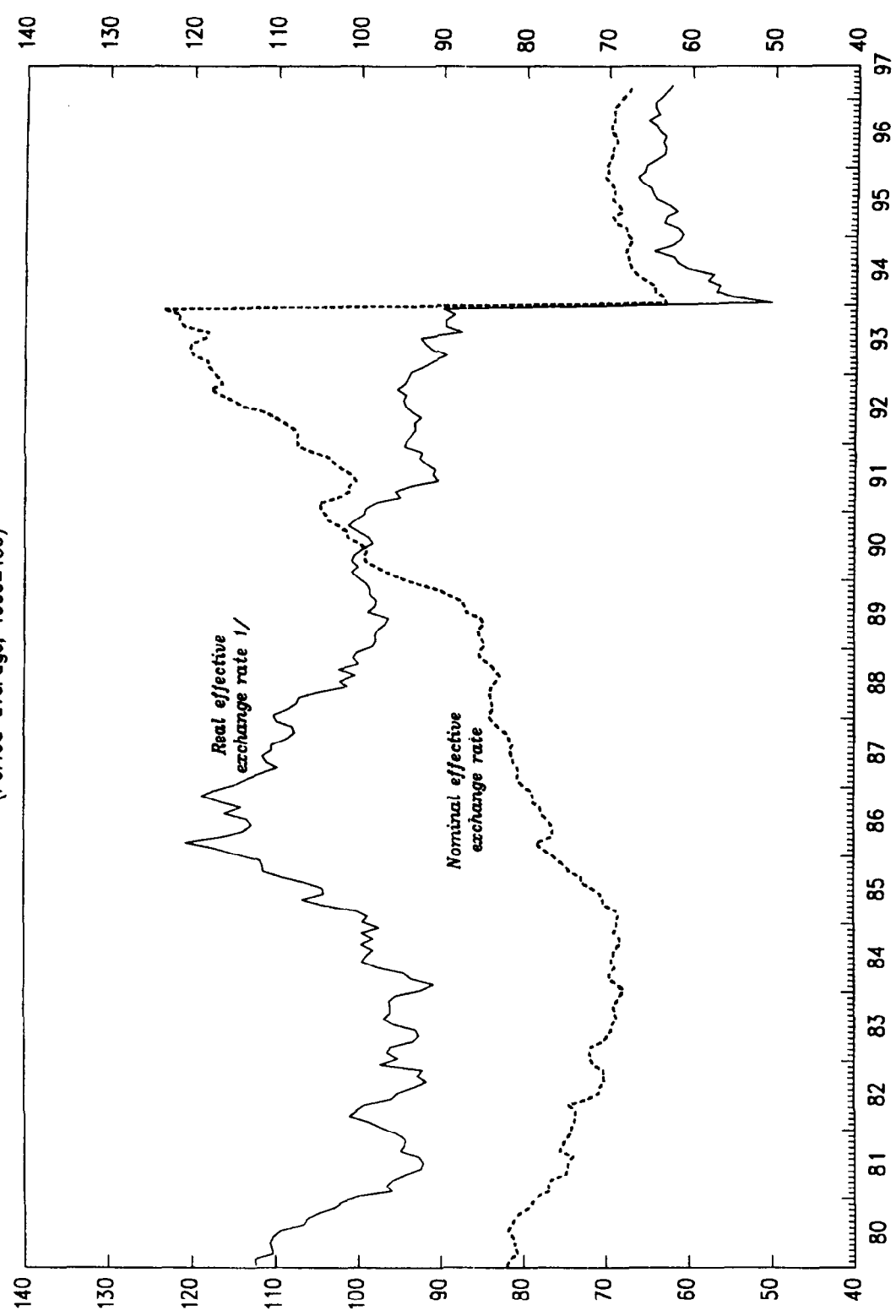
Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

1/ Fiscal year ending June through 1991/92; calendar year starting 1993.

2/ Percentage change in GDP deflator.

3/ Central government, on a commitment basis.

Figure 2
SENEGAL
REAL AND NOMINAL EFFECTIVE EXCHANGE RATES
JANUARY 1980 - MARCH 1997
(Period average; 1990=100)



Source: IMF Information Notice System.

1/ Based on relative CPIs.

7. **The improved competitiveness of the Senegalese economy** since the January 1994 devaluation contributed to a narrowing of the external current account deficit (excluding official transfers) from 9¼ percent of GDP in 1994 to 8 percent in 1995. The CPI-based real effective exchange rate is estimated to have depreciated by about 2 percent in 1996 and by an additional 3 percent in the first quarter of 1997 (Figure 2). After averaging 8¼ percent a year in 1994-95, a number of technical factors temporarily lowered overall export volume growth to about 2 percent in 1996: exports of chemicals were restrained by production interruptions associated with the merger of two large companies, and fish exports were held back by delays in conforming to EU standards. Import volume increased by 4¼ percent in 1996, compared with 5 percent in 1995. At the same time, there was a slight deterioration in the terms of trade. However, these developments were largely compensated by an improvement in the services balance, and there was a further decline in the external current account deficit (excluding official transfers) in terms of GDP to 7¼ percent in 1996.

8. **The overall fiscal deficit (on a commitment basis, excluding grants) was reduced from 5¼ percent of GDP in 1994 to 2 percent in 1996.**³ The basic fiscal balance improved from a deficit of 2¼ percent of GDP to a surplus of 1¼ percent of GDP over the same period, in line with program objectives.⁴ Continuing efforts to strengthen tax and customs administration, enlarge the tax base, and reduce fraud contributed to an increase in tax revenue from 12½ percent of GDP in 1994 to 14 percent in 1996. During the first quarter of 1997, government income tax and VAT revenue was somewhat higher than programmed, reflecting stronger-than-expected economic activity, which more than offset a shortfall in customs revenue related to lower-than-expected rice imports and temporary technical difficulties in the computer system that delayed customs clearance.

9. Total government expenditure was reduced from 19¾ percent of GDP in 1994 to 17 percent in 1996. Expenditure in 1996 was slightly below the program objective as the government wage bill was kept below the program ceiling and interest payments were less than expected. However, there was a larger-than-programed deficit in the Treasury correspondents and special accounts, reflecting an exceptional advance related to the liquidation of the price stabilization agency (CPSP) and withdrawals by public entities of their deposits at the Treasury.⁵ There were no payments arrears in 1996, and all external debt

³Fiscal developments are discussed in greater detail in the first background paper, "Fiscal Adjustment and Public Debt Sustainability, 1986-96."

⁴The basic fiscal balance is defined as government revenue minus total expenditure excluding externally-financed investment.

⁵In addition to budgetary operations, the Treasury maintains a number of special and correspondent accounts. The special accounts, which are monitored and funded by the Treasury, cover specified appropriations, such as for the national retirement fund, as well as
(continued...)

service obligations were paid on time. Total expenditure was again within the program limit during the first quarter of 1997. The wage bill was lower than expected, mainly because of a lag in the payment of previously-granted promotions and because transportation allowances for government workers were not paid to the urban transport company (SOTRAC) when operating difficulties prevented it from providing bus services. The deficit in the correspondents and special accounts was larger than expected in the first quarter due to a salary and pension advance for the Tabaski religious holiday and a subsidy to SOTRAC to cover indemnity payments to some 700 laid-off workers.

10. **Monetary policy** for Senegal is conducted at the regional level by the BCEAO. In 1996, broad money increased by 8½ percent, in line with the expansion of nominal GDP. The improved fiscal position led to a substantial decline in net bank credit to the government. By contrast, credit to the economy rose by 20½ percent in 1996, driven by increased lending for international trade, particularly for food imports, as well as investment in construction and industry, notably in the chemical and energy sectors. Net domestic assets of the banking system increased moderately, rising by 4 percent of the beginning period money stock. As a result, the net foreign assets of the banking system improved, as did Senegal's contribution to the net foreign assets of the BCEAO. The net domestic assets of the BCEAO increased only slightly, below the limits specified in the program.

11. With the decline in inflation, the discount rate of the BCEAO, which stood at 14.5 percent in January 1994, was lowered in four successive steps from 7.5 percent at the end of 1995 to 6.25 percent on February 17, 1997. The average money market rate fell during the course of 1996, dropping from about 5¾ percent at the end of 1995 to about 5 percent in late 1996 and early 1997. Commercial bank rates also declined: the average prime lending rate has fallen by about 1 percentage point since the end of 1995 to about 8½ percent in mid-1997; rates paid on deposits likewise fell, leaving margins largely unchanged. The banking system is generally healthy and it appears that most banks remained profitable in 1996 (financial results for 1996 are not yet finalized). In addition, most banks respected the prudential ratios set by the regional Banking Commission, although the authorities have not yet successfully recapitalized one bank that is in financial difficulties and is being restructured.

12. **Political and social tensions intensified** in early 1997 as strikes by teachers to protest wage freezes and the increase in contributions to the national retirement fund spread to health workers and students. Although tensions have abated somewhat recently with the conclusion of negotiations that extended the school year, thereby avoiding a lost year, they remain high. In addition, there has been increasing resistance by employees to public

⁵(...continued)

loans and advances to various public entities. Treasury correspondent accounts, which may have revenues in addition to budgetary transfers, include urban and rural district authorities and government administrative agencies such as the universities.

enterprise reform. It is widely expected that these tensions will increase in the run up to the legislative elections scheduled for May 1998.

III. POLICY DISCUSSIONS

13. The discussions focused on the implementation of the ESAF-supported program in the first five months of 1997 and on the measures required during the remainder of the year to achieve the program objectives. Particular attention was given to the areas where progress has been slow, namely the implementation of the privatization and energy sector reform programs and the settling of domestic government liabilities. The authorities reiterated their strong commitment to reform and to make up for the delays incurred in order to avoid adverse effects on their credibility *vis-à-vis* domestic and foreign investors.

14. The main **macroeconomic projections and objectives** for 1997, which remain largely unchanged from those specified in the memorandum of economic policies and the policy framework paper of December 1996, are as follows: achieve real GDP growth of at least 4½ percent, maintain inflation in the 2-3 percent range, and further reduce the external current account deficit (excluding official transfers) to 6¼ percent of GDP. Overall economic growth for 1997 is now projected to amount to 4¾ percent based on a substantial improvement in the industrial, service, construction, and fisheries sectors stemming from strong export demand, rising profits, and improving confidence. Total nonagricultural output is expected to increase by more than 6 percent, which will more than offset a significant drop in agricultural production in 1997 caused by irregular rainfall during the late summer and early fall of 1996. The external current account deficit (excluding official transfers), at 6¼ percent of GDP in 1997, would be one-half of a percentage point lower than the initial objective.

15. **The government is aware of the importance of persevering with the appropriately restrained fiscal policies** that have been implemented during the recent past in order to consolidate the financial situation. The overall fiscal deficit (on a commitment basis and excluding grants) should be close to the programmed level of 1 percent of GDP in 1997. Although there was a slight shortfall in petroleum revenues in the first quarter, the authorities are confident that the revenue target of CFAF 436 billion for 1997 will be achieved as the measures put in place in 1996 and early 1997 to improve tax collection and broaden the tax base become effective, and as the single taxpayer registration system that became operational in January 1997 enables the tax and customs administrations to reconcile taxpayer files and audit tax returns more efficiently. The government has recently completed a preliminary study on the structure of petroleum taxation and pricing that presents alternative scenarios to **illustrate the impact of tax and subsidy reductions on government revenue and retail prices** (Box 1); a comprehensive reform of the petroleum taxation and pricing system will be undertaken later in the year and in 1998 in the context of the energy sector reform. The mission stressed the importance of reforming the taxation of petroleum products and the mechanism for adjusting consumer energy prices in order to better insulate government

Box 1. Senegal - Taxation of Petroleum Products

The authorities have prepared a preliminary study on the taxation and pricing of petroleum products to provide the basis for broad reforms.

Current System

- Petroleum products are subject to (i) import duties varying from 15 to 35 percent according to the product, (ii) VAT of 20 percent (10 percent for butane), and (iii) a stabilization tax, which is the difference between the consumer price and the other elements of the cost structure (in the cases noted below, subsidies are provided as a negative stabilization tax). Although the pricing system allows for quarterly consumer price adjustments in light of developments in world prices, these adjustments have been made infrequently.
- High tax rates on light products (gasoline and diesel fuel) partly subsidize certain other petroleum products, primarily fuel oil for the electricity company SENELEC and butane, as shown below. The butane subsidy is intended to encourage households to substitute butane for charcoal with the aim of alleviating pressures on national forestry resources; the SENELEC subsidy was put in place following the devaluation of the CFA franc to mitigate increases in electricity rates.

Total taxation as a percentage of the consumer price

<u>Super gasoline</u>	<u>Regular gasoline</u>	<u>Diesel</u>	<u>Butane</u>	<u>Fuel SENELEC</u>
68	67	49	-115	-30

- The growing cost of the subsidies and the infrequent adjustments to consumer prices (in the context of rising world prices) have had a significant negative impact on fiscal revenue. In 1997, for example, total government revenue from petroleum products are projected to total CFAF 60 billion and gross subsidies of petroleum products are projected to total about CFAF 28 billion.

Proposed Changes

- Raise the price on butane (to make the stabilization tax less negative) to a point where butane would still remain competitive with charcoal throughout most of the country; and raise the price of fuel to SENELEC so that the negative stabilization tax would be fully compensated by import duties (VAT payments would allow a net positive contribution to revenues from fuel to SENELEC).

Impact of proposed reforms

	<u>Price change (percent)</u>	<u>Revenue impact (CFAF billion)</u>	<u>Total revenue contribution (CFAF billion)</u>
Butane	+50	+4.9	-4.3
Fuel SENELEC	+56	+7.8	+4.4

- Replace the stabilization tax with a specific tax to better insulate the budget from changes in world petroleum prices.

revenues from fluctuations in world oil prices. A four-year fisheries agreement with the European Union will contribute CFAF 9 billion a year to non-tax revenue.

16. The authorities have started to analyze the impact of alternative tariff rates on customs revenues in preparation for the adoption of a **common external tariff** by the member countries of the West African Economic and Monetary Union (WAEMU) on January 1, 1998. In this regard, the mission urged the authorities to accept a Bank/Fund staff proposal that the tariff structure contain four bands of 0, 5, 10, and 20 percent, with a possibility of a higher tariff rate of 25 percent for a transitional period; that it include a statistical levy of 1 percent on all imports to finance customs administration and a levy of 0.5 percent on imports from non-WAEMU countries to support regional initiatives; and that all other import taxes be eliminated and exemptions under the control of the authorities be drastically reduced. The authorities generally accepted the main outlines of this proposal, with the main issue being the level of the transitional maximum rate, although they were not in a position to make commitments given the preliminary state of their analysis.

17. The program calls for **continued restraint on current expenditure** while maintaining capital spending at the levels envisaged in the three-year public investment program. The government wage bill will be contained at CFAF 166 billion by limiting the number of civil servants (excluding voluntary teachers) to the current level of 67,100 and by restricting wage increases. The latter will be facilitated by the adoption by the National Assembly on June 26, 1997 of the law on merit-based promotions. Furthermore, measures have been taken to correct the relatively large overruns in the first quarter in the Treasury correspondents and special accounts: salary and pension deductions during the course of the year will reimburse the Treasury for the advance given in the first quarter for the Tabaski holiday; the liquidation of the price stabilization agency (CPSP) will be completed before the end of the year, and the proceeds will be used to reimburse the Treasury; and no additional advances will be granted to SOTRAC. Despite these measures, the Treasury correspondents and special accounts are expected to show a small deficit in 1997. A study on the National Retirement Fund (FNR) is being prepared with assistance from the International Labour Office, and it is expected to recommend measures to put the FNR on a sound actuarial footing by 1998.

18. A comprehensive **long-term reform of the public administration** is being prepared with technical assistance from the UNDP and the World Bank. The authorities are planning to complete a public expenditure review in the areas of education, health, and the judicial system, in close consultation with the World Bank, which should help identify ways to increase the effectiveness of government spending. It is particularly important to raise the return to spending on primary education, which continues to suffer from low enrollment rates and high ratio of pupils to teachers despite relatively high levels of spending, attributable in part to high teacher salaries. Progress has also been made towards a closer monitoring of public investment expenditures on a quarterly basis, as evidenced by the quarterly indicators provided to the staff.

19. In the context of a prudent regional **monetary policy** carried out by the BCEAO, broad money is projected to increase by 9¼ percent in 1997, slightly more than nominal GDP. Net bank credit to the government will fall, reflecting the continued fiscal consolidation as well as higher inflows of foreign assistance, and the net domestic assets of the BCEAO are likewise projected to decline. These developments should allow ample room for credit to the economy, which is projected to rise by 9½ percent, somewhat less than in 1996, due to a return of food imports to more normal levels and a slower growth of construction spending. As a result, Senegal's contribution to the net foreign assets of the BCEAO should rise considerably in 1997.

20. The BCEAO will continue to rely on indirect instruments to conduct monetary policy, particularly the system of auctions of central bank bills that was introduced in August 1996, and will ensure that interest rates remain market-determined and competitive with those in international markets. The BCEAO will endeavor, within the context of the WAEMU, to improve and refine the indirect instruments at its disposal--particularly the use of central bank bills as well as the use of reserve requirements--and will aim to further develop the money and interbank markets.

21. To promote financial savings and foster efficient credit allocation, the authorities will encourage the development of a broader range of negotiable debt instruments and financial services.⁶ In this regard, the expanding number of microfinance institutions and the creation of a regional stock market should help mobilize savings. The authorities will continue to support the efforts of the regional Banking Commission to ensure that prudential ratios are respected. Ongoing efforts to improve the application of business law, including through the training of judges and revised procedures for enforcing loan guarantees, will be essential to lower risks and costs for banks, and by extension, borrowing rates for prospective clients. The authorities recognize the importance of ensuring that recently proposed measures to increase the availability of financing in the agriculture sector be consistent with sound banking practices to avoid problems such as widespread loan defaults, which led to a major banking crisis in the 1980s and to the collapse of the former agricultural development agency (ONCAD).

22. **The discussions on structural policies focused on measures needed to achieve the objectives of the program, mainly in the areas of privatization and energy sector reform.** The authorities explained that protracted negotiations for the sale of one-third of the capital of the telecommunications company (SONATEL) had been broken off in mid-April because of disagreements within the private consortium initially selected as buyer. Discussions are now taking place with the second bidder, and negotiations are expected to be completed before the end of September. In general, the pace of implementation of the privatization program has been speeded up and the government has recently strengthened the unit responsible for executing the program. The National Assembly has discussed and agreed on

⁶For additional detail, see the second background, "Financial Sector Developments and Financial Deepening in Senegal."

the privatization framework for the management of the Dakar-Bamako line of the national railway (SNCS), for which a call for bids has already been launched, and Dakar-Marine, for which a private management company has been chosen. SOTRAC will be liquidated in the context of the transportation adjustment program supported by the World Bank.⁷ Calls for bids for a number of other enterprises have already been launched or will be launched in the coming months (Box 2). The government will shortly issue a call for bids and engage an investment bank to assist with the preparation of privatization of the Hotel Meridien-Président.

23. In the event that privatization revenues turn out to be substantial, the government intends to use them to settle domestic bank and nonbank liabilities and to finance projects in the three-year public investment program. The recently completed audit of extrabudgetary arrears accumulated prior to December 1993 identified outstanding nonbank liabilities of about CFAF 30 billion; of this amount, CFAF 12 billion is expected to be settled with an average discount of 50 percent, leaving a total of about CFAF 25 billion to be settled. The government will agree with IMF staff on a supplemental budget allocating privatization revenues, and on a timetable for the settling of government liabilities. Agreements settling the cross debts with the water company (SONES) and the SNCS were signed in June; the four remaining enterprises with which the government has cross debts have not agreed to sign, and the Treasury will start judicial proceedings to recover its claims.

24. The government is committed to implementing the energy sector reform program set out in the letter of development policy agreed with the World Bank in February 1997, which is expected to be supported by a Bank sectoral adjustment credit. A number of important measures will be implemented before the end of the year, including liberalization of the import, transportation, and distribution of petroleum products; abolition of the special privileges granted to the petroleum company, which will be replaced by a surtax on imported refined products that would decline over 2-3 years; and revision of the pricing and taxation system for petroleum products. In addition, a law on the privatization of the electricity company (SENELEC) will be submitted to the National Assembly before the end of December 1997. The conditions under which SENELEC will be privatized were clouded by the signing in June of a protocol of agreement between the government and an electricity workers union that appeared to be inconsistent with the letter of development policy agreed with the World Bank. The government has since agreed to: (i) arrange for a rapid audit of SENELEC's financial statements for 1995 and 1996 by an internationally reputable auditor; (ii) accept the principle of transfer of management to the strategic partner, provided the share of the strategic partner in the company is at least 33⅓ percent; and (iii) accept the principle that state ownership in SENELEC's capital will be less than 50 percent, with SENELEC's employees being given the option, on a limited time basis, to buy the shares reserved for them (8-10 percent). The calls

⁷Thus, the privatization framework for SOTRAC does not need to be submitted to the National Assembly; the submission to the National Assembly of the privatization framework for SNCS, SOTRAC, and Dakar-Marine is a structural benchmark for June 1997.

Box 2. Senegal - Progress on Privatization, 1997

The status of the 18 enterprises slated for privatization by end-1997 in the Memorandum on Economic and Financial Policies for 1996-97 (EBS/96/200, Appendix II) is as follows:

<u>Enterprise</u>	<u>Sector</u>	<u>Turnover in 1995 (CFAF billions)</u>	<u>Employment in 1995</u>	<u>Status</u>
SONATEL	Telecommuni- cations	55.6	1,887	Negotiations have begun with second bidder following break-off in protracted discussions with initial successful bidder
SONACOS	Groundnut processing	105.4	2,175	Second call for bids to be launched in second half of 1997
SENELEC	Electricity	63.9	2,273	Law on the privatization to be approved by National Assembly before end-1997
SONATRA	Air transport	1.9	125	Opening of bids (from second tender) in mid-July 1997
SOTRAC	Urban transport	10.4	2,588	Preparation ongoing for liquidation of enterprise
SNCS	Rail transport	12.1	2,161	Call for bids launched in May 1997; legal framework in place
Dakar- Marine	Shipyards	2.4	471	Negotiations being finalized with successful bidder; legal framework in place
SSPT	Phosphate mining	2.6	245	Negotiations finalized with buyer; transfer imminent
SPHU- Teranga	Hotel	1.9	...	Unsuccessful tender; negotiations ongoing for sale to current majority shareholder
HAMO	Housing	Operations suspended	0	Assets put for sale in June 1997
ASACE	Export insurance	0.1	8	Transformed into majority privately held enterprise in February 1997
SICAP	Housing	3.0	38	Call for bids launched in May 1997
SONEPI	Research	0.1	31	Privatization approved by board of directors in May 1997
SAPCO	Development	0.3	46	Preparation ongoing
SODIDA	Industrial estate	0.2	1,180	Preparation ongoing
MSAD	Decorative arts	0.1	63	Preparation ongoing
SONADIS	Retail distribution	4.5	...	Transfer to national union of cooperatives being implemented
SOTEXKA	Textiles	0.2	548	Contract signed in June 1997 with private management company

for bids for a management consultant to prepare the privatization of SENELEC and for consultants to prepare the institutional reform for the electricity sector have both been launched.

25. To address the immediate problem of a substantial shortfall in electricity generation, SENELEC has recently signed a build-own-operate-transfer (BOOT) contract with a private foreign firm, which will rely on foreign loans, particularly from the International Finance Corporation (IFC). To obtain the needed financing, the IFC has required a government guarantee typical of this type of BOOT contract. SENELEC has agreed to provide a liquidity facility that would cover more than 80 percent of the estimated fixed costs to the private producer, thereby reducing the probability of calling upon the government's guarantee. Given these circumstances, the guarantee of repayment of SENELEC's liabilities by the government has been excluded from the ceiling on nonconcessional loans contracted or guaranteed by the government.⁸

26. Senegal's **economic data** base has weaknesses in the national accounts, particularly in the measurement of output in the service sector, as well as in the statistics for industrial production, employment, and the balance of payments. There have also been delays in the compilation of reliable monetary statistics associated with the introduction by the BCEAO of a new accounting system for commercial banks. Although weaknesses in the data base do not prevent a meaningful assessment of economic policies, the analysis of current economic developments has been hampered by the timeliness and poor quality of some of the data. The mission encouraged the authorities to strengthen their efforts to improve the quality and availability of data and to enforce the legal provisions requiring economic agents to report statistical information on a timely basis. The quality and availability of Senegal's core statistical indicators are summarized in Appendix V.

IV. MEDIUM-TERM OUTLOOK FOR THE BALANCE OF PAYMENTS AND DEBT

27. The economic policies described above are expected to contribute in the medium term to higher levels of private investment, further improvement in the competitiveness of Senegal's exports, and a greater diversification of the production base, implying higher export earnings and business profits. The rise in private saving, together with the projected fiscal consolidation, is expected to increase gross domestic saving from 11½ percent of GDP in 1996 to 15 percent in 1999. The increase in saving, combined with easier access to financial markets, is projected to further stimulate investment, which would rise from 16½ percent of GDP in 1996 to 18¼ percent in 1999. On the basis of these projections and assumptions, and barring major exogenous shocks, the external current account deficit (excluding official

⁸The IFC has required this type of guarantee for about 22 BOOT contracts since 1992; in no case has the guarantee been called upon.

transfers) is expected to narrow from more than 7 percent of GDP in 1996 to 6¼ percent in 1997, and to about 5 percent of GDP in 1999.⁹

28. Export volumes are projected to increase by 1½ percent in 1997, reflecting growth in chemicals and fisheries offset by a sharp drop in groundnut exports related to the bad crop year and, more generally, to soil degradation. In value terms, exports are projected to rise by 7 percent in 1997. Import volume growth in 1997 will be dampened by the sharp drop in rice imports, as the large inventories accumulated in 1996 following the liberalization of the sector are reduced. Imports of capital and intermediate goods should rise in line with investment. Total imports are expected to increase by less than 1 percent in 1997 in volume, and by 5 percent in value. The terms of trade are projected to improve in 1997 and 1998, and remain stable thereafter. This, together with the expected increase in receipts from tourism, should contribute to a decline in the external current account deficit in 1997, while the capital account should improve strongly on account of increased private capital inflows and higher official project lending. In 1998 and 1999, export and import volume growth should return to normal trends of about 5 percent and 4 percent, respectively.

29. The authorities intend to request from the Paris Club an extension of the current rescheduling agreement, which expires in August 1997, for the remainder of the period covered by the third annual ESAF arrangement. The financing requirements for 1997 are expected to be fully covered by this additional debt relief. Senegal has received external assistance from the IDA debt reduction facility, France, the Netherlands, and Switzerland in an amount equivalent to US\$12.3 million to cover the cost of a debt buyback operation with Senegal's commercial creditors.¹⁰ Senegal has also received a concessional loan of CFAF 45 billion from Taiwan Province of China, which was fully disbursed in March 1997 and will be used to finance projects included in the 1997-99 public investment program.

30. Senegal continues to implement a prudent debt management policy, with recourse only to concessional financing. Based on the updated projections of the balance of payments and national accounts, Senegal's key debt and debt service ratios are likely to remain below the critical thresholds used as eligibility criteria under the heavily indebted poor countries (HIPC) initiative. The total debt stock at the end of 1996 was equivalent to about 72 percent of GDP;

⁹The medium-term balance of payments projections presented in EBS/96/200 have been updated on the basis of developments in 1996 and the latest World Economic Outlook projections. The projections for debt service obligations have not been revised; the latest debt sustainability analysis presented in EBS/96/200, which has been revised to reflect changes in the macroeconomic framework, remains valid. Both the medium-term projections and the debt sustainability analysis will be revised and updated in the context of the discussions for a new ESAF arrangement.

¹⁰The amount eligible under the operation is US\$118 million, of which US\$75 million in principal.

in net present value terms, this amounted to 41 percent of GDP and to 134 percent of exports of goods and nonfactor services. Provided that Senegal continues to manage its debt prudently and implement appropriate policies, the external debt position should continue to improve significantly: the total debt stock would fall to 58 percent of GDP by 1999, and the net present value of the debt would decline to 32 percent of GDP, to 107 percent of exports of goods and nonfactor services, and to 196 percent of government revenues; these ratios would fall to 31, 15, 52, and 87 percent, and respectively, in 2007. Debt service (before debt relief) relative to exports of goods and nonfactor services would decline from 19 percent in 1997, to 15 percent in 1999, and further to 7½ percent in 2007. The fiscal burden of debt service, however, would remain high, as total debt service would amount to 38 percent of government revenue in 1997, 27½ percent in 1999, and 12 percent in 2007. Payments to the Fund are expected to reach a peak of 4½ percent of exports of goods and nonfactor services in 1997 and to decline to zero in 2008.

31. The authorities intend to conduct a loan-by-loan debt sustainability analysis before the end of the year. The staff has stressed the usefulness of such an exercise, which would be done with assistance from the World Bank and the Fund. In addition, following the completion of the current rescheduling agreement with the Paris Club, the authorities would seek to obtain a stock-of-debt operation, which creditors agreed to consider once understandings are reached on a successor ESAF arrangement with the Fund. Financing gaps from 1998 to 2005 are expected to be covered by debt relief as well as external assistance from other bilateral and multilateral creditors, including the Fund. Financing gaps after 2005 are projected to be insignificant.

V. STAFF APPRAISAL

32. Senegal's achievements during the current three-year ESAF period have been considerable. This is particularly so in the area of macroeconomic policies, where government finances have been substantially improved and low and stable inflation has been reestablished. There has also been important progress in structural policies, although key reforms in some areas have been slow or subject to repeated delays. On balance, however, the implementation of the medium-term adjustment and reform strategy has been successful, and this has been reflected in the strengthening of economic growth, a rise in real GDP per capita, a decline in the external current account deficit, and an associated reduction in the need for exceptional external financing. The staff's analysis of the extent to which economic growth has strengthened has been hampered by the poor quality and timeliness of some of the data. This is particularly true for output developments, especially in the service sector where the staff welcomes the authorities' intention to evaluate critically the methodology used to determine the level and growth of service output in the coming months.

33. In the period ahead, the authorities should concentrate their efforts in the following three areas:

- **Pursue fiscal consolidation.** The fiscal situation remains fragile, despite the steady reduction in the budget deficit over the past three years. The government has taken a number of measures to improve the efficiency of the tax system, but the current revenue to GDP ratio of 15½ percent of GDP is still low in view of the need to increase public investment in infrastructure and human resource development. Further efforts are needed to improve the fiscal effort. Low priority current spending should continue to be restrained in order to create room for increased outlays on high priority areas such as health, education, infrastructure investment, and the judicial system. The new merit-based promotion system, together with other aspects of civil service reform, should allow the government to reduce the number of civil servants; this would permit wage increases for high performing workers, while containing increases in the total wage bill.

- **Strengthen the structural reform process and make up for delays.** While important strides have been made, a number of structural reforms in key areas such as the civil service and the judicial system are still recent and are not yet fully implemented. Moreover, there have been significant delays in privatization and public enterprise reform, as well as in energy sector reform. It is essential that the steps the authorities have taken to make up for delays in the reform of the energy sector and to reestablish momentum for the privatization program be fully carried through to complete the structural agenda envisaged in the program. This would enhance credibility for the government's adjustment and reform program and bolster private investor confidence.

- **Deepen financial intermediation.** Continued efforts are needed to develop and strengthen the financial sector so as to better mobilize savings and ensure an efficient allocation of credit. The development of nonbank and local credit institutions is essential to increase the availability of financing to small businesses, the informal sector, and rural areas. The creation of the regional financial market will also be important to mobilize savings. To reduce the risk of lending to the private sector, there is an urgent need to improve the application of business law by ensuring the prompt enforcement of contracts, and to improve the training of judges and magistrates in financial matters.

34. To a large extent, the delays in the implementation of the government's structural reform agenda reflect opposition from special interest groups. The authorities believe, however, that their program enjoys substantial public support, which they have fostered through public discussions and debates with civil society. It is important, therefore, that the authorities strengthen their efforts to build a broad-based constituency for reform so that the government is better able to resist determined opposition from privileged groups that may stand to lose from reforms.

35. The authorities have reaffirmed their commitment to successful completion of the adjustment program. They have expressed the desire that, at the end of the third annual arrangement, the Fund would continue to support Senegal's adjustment efforts with a new ESAF arrangement in order to consolidate the gains achieved thus far and to pursue the next

generation of reforms. These would involve deeper structural and institutional reforms, including further trade liberalization in concert with Senegal's WAEMU partners; the completion of energy sector, judicial, and public sector reforms; and more effective development of human resources.

36. In light of the progress made thus far and the authorities' strong commitment to the successful completion of the program, the staff recommends that the midterm review under the third annual ESAF arrangement be completed.

37. It is proposed that the next Article IV consultation with Senegal be held on the standard 12-month cycle.

VI. PROPOSED DECISION

The following draft decision is proposed for adoption by the Executive Board to complete the review:

Senegal - Midterm Review Under Third Annual ESAF Arrangement

1. Senegal has consulted with the Fund in accordance with paragraph 2(d) of the third annual arrangement under the enhanced structural adjustment facility (ESAF) for Senegal (EBS/96/200, Supplement 1) and paragraph 5 of the letter of the Minister of Economy, Finance and Planning, dated November 7, 1996 attached to the arrangement.
2. The letter dated May 20, 1997 from the Minister of Economy, Finance, and Planning shall be attached to the third annual arrangement under ESAF for Senegal and the letter of November 7, 1996 from the Minister of Economy, Finance, and Planning, together with its attached Memorandum of Economic and Financial Policies of Senegal for 1996-97, shall be read as supplemented and modified by the letter dated May 20, 1997.
3. The Fund determines that, notwithstanding the nonobservance of the structural performance criterion regarding the delivery by end-March 1997 of the report on the strengthening of the tax and customs administrations, the midterm review contemplated in paragraph 2(d) of the third annual arrangement under the ESAF for Senegal has been completed and that Senegal may request the disbursement of the second loan specified in paragraph 1(b) of the same.

Table 1. Senegal: Selected Economic and Financial Indicators, 1994-99

	1994	1995	1996 Prog.	1996 Est.	1997 Prog.	1997 Rev. Proj.	1998 Proj.	1999 Proj.
(Annual percentage change)								
National income and prices								
GDP at constant prices	2.0	4.8	5.2	5.6	4.5	4.7	4.8	4.8
GDP deflator	33.2	7.6	3.0	2.8	2.5	2.5	2.5	2.5
Consumer prices 1/ Annual average	32.1	8.1	3.0	2.8	2.5	2.5	2.5	2.5
End-of-period	37.5	5.5	3.0	2.4	...	...	...	...
External sector								
Exports, f.o.b. (in SDRs)	9.0	15.6	7.8	6.4	6.9	1.0	5.4	5.8
Imports, f.o.b. (in SDRs)	-8.3	12.4	11.2	8.8	4.1	-1.3	3.7	5.0
Export volume	9.1	7.3	3.1	2.1	5.9	1.5	5.0	4.8
Import volume	-9.0	5.0	4.6	4.2	3.3	0.6	3.9	3.8
Terms of trade (deterioration -)	-0.6	0.0	-1.6	-1.1	0.6	1.1	0.8	0.0
Nominal effective exchange rate 2/ Real effective exchange rate 2/	-45.1 -35.1	4.9 8.5	-0.9 -2.3	-2.1 -2.4		-2.1 -3.0		
Government financial operations								
Revenue	17.8	21.5	9.9	7.7	8.4	10.7	10.7	11.1
Total expenditure and net lending	32.8	4.7	1.6	0.8	2.6	4.6	2.9	5.3
Money and credit								
Net domestic assets 3/ Of which	-8.5	-5.0	2.6	4.2	3.9	0.1	2.0	-1.3
Credit to the government (net)	-14.7	-0.7	-4.2	-2.7	-1.9	-5.7	-6.7	-10.8
Credit to the economy	8.1	0.7	6.9	11.3	5.8	5.8	8.7	9.5
Money and quasi-money (M2)	37.8	7.7	3.1	8.4	5.3	9.3	9.6	7.1
Velocity (GDP/M2)	4.6	4.9	5.1	4.9	5.2	4.8	4.7	4.7
Interest rates (end of period)								
Discount rate 4/ 5/	10.0	7.5	6.5	6.5	...	6.3	...	...
Money market rate 4/	5.5	6.0	4.0	5.0	...	...	...	...
(In percent of GDP, unless otherwise indicated)								
Overall fiscal surplus or deficit (-)								
Commitment basis, excluding grants	-5.7	-3.2	-1.9	-2.0	-1.0	-1.1	0.0	0.9
Commitment basis, including grants	-1.8	-0.2	0.0	-0.2	0.5	0.3	1.0	1.8
Payments arrears of the government and public agencies (stock at end of period)	2.8	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Gross domestic investment	13.6	15.6	16.6	16.5	16.5	16.5	17.5	18.3
Gross domestic savings	7.4	10.4	10.9	11.4	11.7	12.1	13.8	15.0
Gross national savings (including official transfers)	13.7	15.1	14.7	15.3	15.3	15.7	16.9	18.2
External current account deficit (-)								
Excluding official transfers	-9.3	-7.9	-8.0	-7.2	-6.7	-6.3	-5.4	-4.8
Including official transfers	0.1	-0.5	-1.9	-1.2	-1.2	-0.8	-0.6	-0.1
External debt 6/	80.9	70.7	66.9	72.1	62.3	68.2	62.5	57.6
External debt (NPV)	54.3	45.6	42.0	41.3	38.8	40.3	36.7	32.2
In percent of exports of goods and nonfactor services (XGNFS)	165.1	143.8	135.6	134.2	125.9	131.5	121.2	107.4
Debt service ratio 7/ 8/								
In percent of XGNFS	21.9	20.1	19.1	18.6	18.9	19.2	17.7	15.1
In percent of government revenue	51.5	42.4	38.6	38.3	37.7	38.2	33.8	27.6
GDP at current market prices (in billions of CFA francs)	2,155.1	2,429.8	2,631.3	2,637.5	2,817.9	2,830.5	3,039.8	3,265.0
Overall balance of payments surplus or deficit (-) (in millions of SDRs) 8/	92.2	11.5	-23.0	-2.3	-11.1	43.8	-4.0	6.6

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

1/ Index of consumer prices in Dakar.

2/ Average data (depreciation -). For 1996, program data correspond to change from December 1995 to September 1996.

3/ Changes in percent of beginning-of-period money stock.

4/ Figures for 1996 program are at end-October 1996.

5/ For 1997, as of February 17, 1997.

6/ Public and publicly guaranteed debt, including Fund credit and central bank liabilities.

7/ Based on the latest debt sustainability analysis (EBS/96/200).

8/ Before debt rescheduling, but after debt cancellation

Table 2. Senegal: Selected National Accounts Indicators, 1994-97

	1994	1995	<u>Prog.</u> 1996	<u>Est.</u> 1996	<u>Prog.</u> 1997	Rev. <u>prog.</u> 1997
(Annual percentage change in constant prices)						
Primary sector	11.6	0.9	7.6	7.5	4.4	-1.9
Agriculture	18.7	-2.9	11.1	10.9	4.0	-8.9
Livestock	3.7	4.1	4.0	4.0	5.0	5.0
Fishing	10.3	8.0	5.1	5.3	5.0	7.5
Forestry	1.9	2.0	2.0	2.0	1.8	2.0
Secondary sector	1.8	9.7	7.3	7.0	6.2	7.4
Mining	-4.1	1.6	0.0	-10.8	7.7	8.5
Industry	0.6	9.6	5.5	5.4	3.9	7.2
Oil milling	7.1	17.0	12.4	-9.1	2.3	-40.9
Energy	4.9	5.0	6.0	4.3	6.0	6.5
Construction	4.2	12.5	14.3	17.5	14.5	14.5
Tertiary sector	-1.1	4.7	3.6	4.5	3.9	6.2
Transportation	-3.0	4.9	4.0	4.0	4.0	7.0
Commerce	-4.0	5.3	5.0	5.6	4.7	7.5
Public administration	0.6	1.6	0.8	0.8	0.8	0.8
Other	2.7	6.0	3.4	5.9	5.0	7.9
GDP	2.0	4.8	5.2	5.6	4.5	4.7
GDP (deflator)	33.2	7.6	3.0	2.8	2.5	2.5
(In percent of nominal GDP)						
Gross domestic investment	13.6	15.6	16.6	16.5	16.5	16.5
Government 1/	4.6	4.8	4.8	4.8	5.0	4.9
Nongovernment	9.0	10.8	11.7	11.7	11.5	11.6
Gross domestic savings	7.4	10.4	10.9	11.4	11.7	12.1
Government 1/	1.6	3.9	5.0	4.5	5.9	5.7
Nongovernment	5.8	6.5	5.9	6.9	5.8	6.5
Investment/Savings balance	-6.3	-5.2	-5.7	-5.1	-4.8	-4.4
Government 1/	-3.0	-0.9	0.2	-0.3	0.9	0.7
Nongovernment	-3.2	-4.3	-5.8	-4.8	-5.7	-5.1
External current account balance 2/	0.1	-0.5	-1.9	-1.2	-1.2	-0.8
Gross national savings 2/	13.7	15.1	14.7	15.3	15.3	15.7
Memorandum item:						
Gross official transfers	9.3	7.4	6.1	6.0	5.5	5.5

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

1/ Central government.

2/ Including official transfers

Table 3 Senegal: Government Financial Operations, 1994-97

	1994	1995	Prog. 1996	Est. 1996	Prog. 1997	Rev. prog. 1997
(In billions of CFA francs)						
Total revenue and grants	385.6	432.7	452.6	442.0	478.6	478.2
Revenue	301.5	366.2	402.5	394.3	436.4	436.4
Tax revenue	267.9	330.3	365.5	369.3	406.1	406.1
Nontax revenue	33.6	35.9	37.0	25.0	30.3	30.3
Grants	84.1	73.5	50.1	-47.7	42.2	41.8
Total expenditure and net lending	424.8	444.7	452.0	448.1	463.9	468.6
Current expenditure	318.6	316.6	322.9	312.6	323.9	325.3
Wages and salaries	148.8	157.5	164.5	162.6	166.0	166.0
Interest due	71.5	64.5	64.3	55.9	64.8	66.2
Of which						
External 1/	58.3	55.8	53.2	45.9	52.7	52.7
Other current expenditure	98.3	94.6	94.1	94.1	93.1	93.1
Capital expenditure	100.2	117.7	127.6	127.6	140.0	140.0
Domestically financed	26.2	35.7	41.6	41.6	50.0	50.0
Externally financed	74.0	82.0	86.0	86.0	90.0	90.0
Voluntary departure program	0.1	0.0	0.0	0.0	0.0	0.0
Treasury special accounts and correspondents (net) 2/	-5.9	-10.4	-1.5	-7.9	0.0	-3.3
Overall fiscal balance (commitment basis, including grants)	-39.2	-5.0	0.6	-6.1	14.7	9.6
Adjustments to cash basis	-160.8	-60.4	0.0	0.0	0.0	0.0
Change in payments arrears	-160.8	-60.4	0.0	0.0	0.0	0.0
Domestic arrears	-32.1	-14.9	0.0	0.0	0.0	0.0
External arrears	-128.7	-45.5	0.0	0.0	0.0	0.0
Overall fiscal balance (cash basis, including grants)	-200.0	-65.4	0.6	-6.1	14.7	9.6
Financing	200.0	65.4	-0.6	6.1	-14.7	-9.6
External financing	186.7	80.5	34.8	36.0	-3.5	28.2
Drawings	80.9	81.6	79.8	79.5	61.1	92.8
Treasury	18.9	29.6	23.8	23.5	1.1	2.4
Project loans	44.0	52.0	56.0	56.0	45.0	45.0
Other 3/	18.0	0.0	0.0	0.0	15.0	45.4
Amortization due 1/	-83.1	-73.1	-74.2	-72.7	-73.5	-73.5
Debt relief 4/	169.3	77.6	36.2	36.2	17.4	17.4
Paris Club deferral	19.6	-5.6	-7.0	-7.0	-8.5	-8.5
Domestic financing	13.3	-15.1	-35.4	-29.9	-17.3	-43.9
Banking system 5/	1.0	-14.2	-21.2	-23.6	-9.7	-37.9
Nonbank borrowing	13.2	6.0	-10.6	-7.9	-3.5	-1.9
Other 6/	-0.9	-6.9	-3.6	1.6	-4.1	-4.1
Financing gap	0.0	0.0	0.0	0.0	6.1	6.1
(In percent of GDP)						
Total revenue and grants	17.9	18.1	17.2	16.8	17.0	16.9
Of which						
Revenue	14.0	15.1	15.3	14.9	15.5	15.4
Tax revenue	12.4	13.6	13.9	14.0	14.4	14.3
Total expenditure and net lending	19.7	18.3	17.2	17.0	16.5	16.6
Of which						
Current expenditure	14.8	13.0	12.3	11.9	11.5	11.5
Capital expenditure	4.6	4.8	4.8	4.8	5.0	4.9
Overall fiscal balance						
Commitment basis, excluding grants	-5.7	-3.2	-1.9	-2.0	-1.0	-1.1
Cash basis, excluding grants	-13.2	-5.7	-1.9	-2.0	-1.0	-1.1
Basic fiscal balance 7/	-2.3	0.1	1.4	1.2	2.2	2.0
Memorandum items						
Stock of domestic payments arrears 8/ (end-of-period)	14.9	0.0	0.0	0.0	0.0	0.0
Gross domestic product	2,155.1	2,429.8	2,631.3	2,637.5	2,817.9	2,830.5

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

1/ The external debt service figures include all debt directly contracted by the government and part of the government-guaranteed debt serviced by the government; for the projections, the latter is assumed to be 30 percent. Starting in 1996, debt service is net of the impact of the French debt cancellation obtained in 1994.

2/ Deficits are added to expenditure, while surpluses are deducted. The Treasury's special accounts exclude net repayments in the Debt Amortization Fund, National Energy Fund, and investment expenditures relating to the Fifth and Sixth Plans, which are shown separately.

3/ Amount shown for 1994 includes the third tranche of a loan from the African Development Bank for the financing of small- and medium-scale enterprise development. The amount shown for 1997 represents a tranche from an unanticipated loan received from Taiwan Province of China.

4/ Includes debt rescheduling from the Paris Club and other official bilateral creditors; until 1996, debt cancellation granted by France in early 1994, and, until 1997, commercial bank debt restructuring requested in 1994.

5/ Includes counterparts of Fund purchases and repurchases, as well as those of loans under the structural and enhanced structural adjustment facilities; also includes repayments of ONCAD and consolidated debt. Excludes changes in the amount of securities issued against the consolidated public debt and held outside the banking system.

6/ Includes errors and omissions.

7/ Defined as total revenue minus total expenditure and net lending, excluding externally-financed capital expenditure.

8/ Not including extrabudgetary arrears that were accumulated before 1993 and amount to about CFAF 25 billion at end-1996.

Table 4. Senegal: Government Revenue, 1994-97 1/

	1994	1995	<u>Prog.</u> 1996	<u>Est.</u> 1996	<u>Prog.</u> 1997	<u>Rev.</u> <u>prog.</u> 1997
(In billions of CFA francs)						
Total revenue	301.5	366.2	402.5	394.3	436.4	436.4
<i>Of which: Petroleum products</i>	60.0	55.2	53.0	52.8	59.9	56.0
Tax revenue	267.9	330.3	365.5	369.3	406.1	406.1
Taxes on international trade	124.0	155.7	174.7	178.3	189.0	189.0
<i>Of which: Petroleum products</i>	15.7	16.8	15.3	17.2	17.3	17.3
VAT on imports	28.9	41.9	...	45.3	...	...
Taxes on goods and services	69.0	83.7	96.3	94.6	114.0	114.0
<i>Of which: Petroleum products</i>	17.3	16.5	15.8	15.5	20.2	20.2
Taxes on income and profits	63.2	79.8	82.5	84.6	90.5	90.5
Other taxes	11.7	11.1	12.0	11.8	12.6	12.6
Nontax revenue	33.6	35.9	37.0	25.0	30.3	30.3
<i>Of which: Petroleum products</i>	27.0	21.9	21.9	20.1	22.4	18.5
(In percent of GDP)						
Total Revenue	14.0	15.1	15.3	14.9	15.5	15.4
<i>Of which: Petroleum products</i>	2.8	2.3	1.9	1.9	2.1	2.0
Tax revenue	12.4	13.6	13.9	14.0	14.4	14.3
Taxes on international trade	5.8	6.4	6.6	6.8	6.7	6.7
<i>Of which: Petroleum products</i>	0.7	0.7	0.6	0.6	0.6	0.6
VAT on imports	1.3	1.7	...	1.7	...	...
Taxes on goods and services	3.2	3.4	3.7	3.6	4.0	4.0
<i>Of which: Petroleum products</i>	0.8	0.7	0.6	0.5	0.7	0.7
Taxes on income and profits	2.9	3.3	3.1	3.2	3.2	3.2
Other taxes	0.5	0.5	0.5	0.4	0.4	0.4
Nontax revenue	1.6	1.5	1.4	0.9	1.1	1.1
<i>Of which: Petroleum products</i>	1.3	0.9	0.8	0.8	0.8	0.7
(In percent of imports, c.i.f.)						
Taxes on international trade	19.2	22.6	23.2	24.2	24.2	24.5
Excluding VAT on imports	14.7	16.5	...	18.1	...	...

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

1/ Data may not add up because of rounding.

Table 5. Senegal: Monetary Survey, 1994-97

	1994	1995	Prog. 1996	Est. 1996	Prog. 1997	Rev. prog. 1997
(In billions of CFA francs; end of period)						
Foreign assets (net) ^{1/}	-137.7	-80.2	-78.1	-60.3	-71.2	-10.7
BCEAO	-148.3	-107.2	-95.1	-79.7	-88.2	-30.1
Commercial Banks	10.6	27.0	17.0	19.4	17.0	19.4
Net domestic assets	626.3	603.2	616.0	624.4	636.3	625.2
Of which: BCEAO ^{2/}	337.8	315.1	256.9	256.6	233.7	239.6
Credit to the government (net) ^{3/}	312.5	309.2	288.0	295.5	278.3	264.8
Central bank	340.9	330.7	271.0	269.4	247.9	252.7
Commercial banks	-30.0	-23.3	15.5	26.3	28.9	10.6
Other	1.6	1.8	1.5	-0.2	1.5	1.5
Credit to the economy	270.5	273.8	308.4	330.0	338.4	361.5
Crop credits	12.7	0.4	5.0	1.1	5.0	3.0
Other credits	257.8	273.4	303.4	328.9	333.4	358.5
Other items (net)	43.3	20.2	19.6	-1.1	19.6	-1.1
Medium- and long-term foreign assets	-33.2	-32.1	-31.5	-31.5	-31.5	-31.5
Revaluation account	8.3	8.3	8.3	8.3	8.3	8.3
Money supply M2	463.7	499.2	514.7	540.9	541.9	591.3
Currency outside banks	145.6	152.0	151.8	144.2	154.4	155.5
Deposits	318.1	347.2	362.9	396.7	387.5	435.8
Memorandum items:						
Base money	176.9	196.2	150.7	165.8	134.4	198.4
Bank reserves ^{4/}	20.3	44.2	-1.1	24.2	-20.0	42.9
Claims of the central bank on commercial banks	11.5	0.0	3.6	2.6	25.0	42.9
(Annual change in percent of beginning-of-period money stock)						
Foreign assets (net)	53.3	12.4	0.4	4.0	1.3	9.2
BCEAO	39.7	8.9	2.4	5.5	1.3	9.2
Commercial banks	13.6	3.5	-2.0	-1.5	0.0	0.0
Net domestic assets	-8.5	-5.0	2.6	4.2	3.9	0.1
Credit to the government (net) ^{3/}	-14.7	-0.7	-4.2	-2.7	-1.9	-5.7
Central bank	-16.6	-2.2	-12.0	-12.3	-4.5	-3.1
Commercial banks	1.6	1.5	7.8	9.9	2.6	-2.9
Other	0.3	0.0	-0.1	-0.4	0.0	0.3
Credit to the economy	8.1	0.7	6.9	11.3	5.8	5.8
Annual percentage change	11.3	1.2	12.6	20.5	9.7	9.5
Crop credits	1.5	-2.7	0.9	0.1	0.0	0.4
Other credits	6.6	3.4	6.0	11.1	5.8	5.5
Other items (net)	-2.0	-5.0	-0.1	-4.3	0.0	0.0
Money supply M2	37.8	7.7	3.1	8.4	5.3	9.3

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

1/ Reflects revision of the monetary accounts made by the BCEAO, which excludes revaluation of the operations account following the 1994 devaluation of the CFA franc.

2/ Defined as base money minus net foreign assets (including revaluation account and SDR counterpart).

3/ Excluding securities held by local nonbank investors and by investors from other WAEMU countries.

4/ Net position in the money market, plus other reserves.

Table 6. Senegal: Summary Accounts of the Central Bank and Commercial Banks, 1994-97

(In billions of CFA francs; end of period)

	1994	1995	<u>Prog.</u> 1996	<u>Est.</u> 1996	<u>Prog.</u> 1997	<u>Rev.</u> <u>prog.</u> 1997
BCEAO						
Net foreign assets 1/	-148.3	-107.2	-95.1	-79.7	-88.2	-30.1
Assets	96.1	133.4	...	151.0	...	...
Liabilities	-244.4	-240.6	...	-230.7	...	...
Net domestic assets	337.8	315.1	256.9	256.6	233.7	239.6
Credit to the government (net)	340.9	330.7	271.0	269.4	247.9	252.7
Claims	354.7	349.9	294.3	296.2	271.2	286.2
Deposits and cash	-13.8	-19.2	-23.3	-26.8	-23.3	-33.5
Claims on other financial institutions (net)	0.2	0.5	0.2	0.2	0.2	-0.1
Other items (net)	-3.3	-16.1	-14.3	-13.0	-14.3	-13.0
Base money	176.9	196.2	150.7	165.8	134.4	198.4
Net claims of deposit money banks	31.3	44.2	-1.1	21.6	-20.0	42.9
Currency outside banks	145.6	152.0	151.8	144.2	154.4	155.5
Revaluation account	-7.2	-7.2	-7.2	-7.2	-7.2	-7.2
SDR counterpart	19.8	18.9	18.3	18.3	18.3	18.3
Commercial banks						
Net foreign assets	10.6	27.0	17.0	19.4	17.0	19.4
Assets	70.2	78.4	...	74.1	...	...
Liabilities	-59.6	-51.4	...	54.7	...	...
Net domestic assets	295.2	284.0	354.6	364.7	398.1	381.0
Credit to the government (net)	-30.0	-23.3	15.5	26.3	28.9	10.6
Claims	109.3	113.0	160.2	169.9	145.5	163.8
Deposits	-139.3	-136.3	-144.7	-143.6	-116.6	-153.2
Credit to the private sector	267.6	271.0	305.2	326.5	335.2	358.5
Other items (net)	57.6	36.3	33.9	11.9	33.9	11.9
Reserves 2/	20.3	44.2	-1.1	24.2	-20.0	42.9
Claims of the central bank	0.0	0.0	0.0	2.6	0.0	0.0
Private sector deposits	313.8	343.0	358.4	393.6	383.0	431.2
Medium- and long-term external liabilities	13.4	13.2	13.2	13.2	13.2	13.2
Revaluation account	-1.1	-1.1	-1.1	-1.1	-1.1	-1.1

Sources: Data provided by the BCEAO; and staff estimates and projections.

1/ Reflects revision of the monetary accounts made by the BCEAO, which excludes revaluation of the operations account following the 1994 devaluation of the CFA franc.

2/ Net position in the money market plus other reserves.

Table 7. Senegal: Balance of Payments, 1994-99

(In billions of CFA francs, unless otherwise indicated)

	1994	1995	Prog. 1996	Est. 1996	Prog. 1997	Rev. proj. 1997	Proj. 1998	Proj. 1999
Trade balance	-128.3	-124.1	-150.9	-143.9	-142.7	-138.8	-136.0	-139.0
Exports, f.o.b.	439.1	483.4	509.1	504.5	543.6	541.2	574.3	611.7
Of which								
Groundnut products	55.5	51.0	44.1	40.9	48.0	25.0	24.7	25.6
Imports, f.o.b.	-567.4	-607.5	-660.1	-648.4	-686.3	-680.0	-710.3	-750.7
Of which								
Petroleum products	-69.4	-60.6	-82.0	-79.4	-82.7	-91.0	-89.3	-93.3
Services (net)	-85.3	-79.5	-69.0	-57.9	-56.9	-51.1	-41.9	-30.3
Credits	279.6	301.5	321.0	322.4	340.6	341.5	361.1	382.0
Debits	-364.9	-381.0	-390.0	-380.2	-397.5	-392.7	-402.9	-412.3
Of which								
Interest due on public debt 1/	-69.7	-69.4	-63.9	-58.6	-59.0	-59.4	-57.4	-53.8
Unrequited transfers (net)	215.4	190.9	169.9	169.3	166.3	167.7	160.4	165.0
Private (net)	21.4	19.9	18.7	20.5	19.3	21.2	21.8	22.5
Public (net)	194.0	171.0	151.2	148.8	147.0	146.6	138.6	142.5
Of which								
Gross official transfers	201.2	179.4	159.8	157.4	155.7	155.4	147.5	151.6
Current account balance (deficit -)	1.8	-12.7	-50.1	-32.4	-33.3	-22.2	-17.5	-4.3
Current account balance excluding gross official transfers	-199.4	-192.1	-209.8	-189.9	-189.0	-177.6	-165.1	-156.0
Capital account	71.5	21.5	30.7	30.7	25.1	56.8	14.3	9.6
Public sector (net)	35.0	33.2	33.1	33.9	15.1	46.8	4.3	-0.4
Drawings	120.5	109.6	103.8	103.5	86.1	117.8	75.0	75.0
Amortization due 1/	-85.5	-76.4	-70.8	-69.6	-71.0	-71.0	-70.7	-75.4
Other capital	36.5	-11.7	0.0	-3.2	10.0	10.0	10.0	10.0
Deposit money banks	-54.9	-16.4	10.0	7.6	0.0	0.0	0.0	0.0
Other 2/	91.4	4.7	-10.0	-10.8	10.0	10.0	10.0	10.0
Overall balance (deficit -)	73.3	8.7	-17.0	-1.7	-8.2	34.6	-3.2	5.3
Debt rescheduling 3/	153.6	72.6	36.2	36.2	17.4	17.4	0.0	0.0
Paris Club deferral	19.6	-5.6	-7.0	-7.0	-8.5	-8.5	0.0	0.0
Debt relief from debt cancellation 4/	15.7	10.9	0.0	0.0	0.0	0.0	0.0	0.0
Financing	-262.2	-86.6	-12.1	-27.5	-6.8	-49.6	-15.9	-25.8
Net foreign assets (BCEAO)	-133.5	-41.1	-12.1	-27.5	-6.8	-49.6	-15.9	-25.8
Operations account and other	-155.7	-62.1	-20.3	-22.4	13.7	-41.3	19.4	-6.7
Net use of Fund resources	22.2	21.0	8.1	-5.1	-20.5	-8.4	-35.3	-19.1
Drawings	38.1	41.1	30.8	17.7	13.2	27.8	0.0	0.0
Repayments	-15.9	-20.1	-22.7	-22.8	-33.7	-36.1	-35.3	-19.1
Payments arrears (reduction -)	-128.7	-45.5	0.0	0.0	0.0	0.0	0.0	0.0
Financing gap	0.0	0.0	0.0	0.0	6.1	6.1	19.1	20.5
Memorandum items: (in percent of GDP)								
Current account								
Including gross official transfers	0.1	-0.5	-1.9	-1.2	-1.2	-0.8	-0.6	-0.1
Excluding gross official transfers	-9.3	-7.9	-8.0	-7.2	-6.7	-6.3	-5.4	-4.8
Export of goods and nonfactor services	32.8	31.7	31.0	30.8	30.8	30.6	30.3	29.9
Exchange rate (CFAF/SDR)	795.0	757.1	739.9	742.8	738.8	788.9	794.4	799.6

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

1/ From 1996, after ODA debt cancellation granted by France in 1994.

2/ Including private capital, revaluation of BCEAO assets, and errors and omissions.

3/ Including debt rescheduling from the Paris Club and other official bilateral creditors, and, until 1997, commercial bank debt rescheduling requested in 1994, and subject to a debt reduction operation.

4/ Based on the debt cancellation of CFAF 143.1 billion granted by France in early 1994.

Table 8. Senegal: Balance of Payments, 1994-99

(In millions of SDRs, unless otherwise indicated)

	1994	1995	Prog. 1996	Est. 1996	Prog. 1997	Rev. Prog. 1997	Proj. 1998	Proj. 1999
Trade balance	-161.4	-163.9	-204.1	-193.7	-193.2	-176.0	-171.2	-173.8
Exports, f.o.b.	552.3	638.5	688.1	679.2	735.8	686.0	722.9	765.0
Of which								
Groundnut products	69.8	67.4	59.6	55.1	65.0	31.6	31.1	32.1
Imports, f.o.b.	-713.7	-802.4	-892.1	-872.9	-928.9	-862.0	-894.2	-938.8
Of which								
Petroleum products	-87.3	-80.0	-110.8	-106.9	-111.9	-115.3	-112.4	-116.7
Services (net)	-107.3	-105.0	-93.3	-77.9	-77.0	-64.8	-52.7	-37.9
Credits	351.7	398.2	433.8	434.0	461.0	432.9	454.5	477.7
Debits	-459.0	-503.2	-527.1	-511.8	-538.0	-497.8	-507.2	-515.6
Of which								
Interest due on public debt 1/	-87.7	-91.7	-86.4	-78.9	-79.9	-75.3	-72.3	-67.3
Unrequited transfers (net)	270.9	252.1	229.6	227.9	225.1	212.6	201.9	206.3
Private (net)	26.9	26.3	25.3	27.6	26.1	26.8	27.4	28.1
Public (net)	244.0	225.9	204.4	200.3	199.0	185.8	174.5	178.2
Of which								
Gross official transfers	253.1	237.0	216.0	211.9	210.7	196.9	185.7	189.7
Current account balance (deficit -)	2.3	-15.8	-67.7	-43.6	-45.1	-28.2	-22.0	-5.4
Current account balance excluding gross official transfers	-250.8	-253.7	-283.6	-255.7	-255.8	-225.1	-207.8	-195.1
Capital account	89.9	28.4	41.5	41.3	34.0	72.0	18.0	12.0
Public sector (net)	44.0	43.9	44.7	45.6	20.4	59.3	5.4	-0.5
Drawings	151.6	144.8	140.3	139.3	116.5	149.3	94.4	93.8
Amortization due 1/	-107.5	-100.9	-95.7	-93.7	-96.1	-90.0	-89.0	-94.3
Other capital	45.9	-15.5	0.0	-4.3	13.5	12.7	12.6	12.5
Deposit money banks	-69.1	-21.7	13.5	10.2	0.0	0.0	0.0	0.0
Other 2/	115.0	6.2	-13.5	-14.5	13.5	12.7	12.6	12.5
Overall balance (deficit -)	92.2	11.5	-23.0	-2.3	-11.1	43.8	-4.0	6.6
Debt rescheduling 3/	193.2	95.9	48.9	48.7	23.6	22.0	0.0	0.0
Paris Club deferral	24.7	-7.4	-9.5	-9.4	-11.5	-10.7	0.0	0.0
Debt relief from debt cancellation 4/	19.7	14.4	0.0	0.0	0.0	0.0	0.0	0.0
Financing	-329.8	-114.4	-16.4	-37.0	-9.2	-62.9	-20.0	-32.3
Net foreign assets (BCEAO)	-167.9	-54.3	-16.4	-37.0	-9.2	-62.9	-20.0	-32.3
Operations account and other	-195.8	-82.0	-27.4	-30.2	18.6	-52.3	24.4	-8.4
Net use of Fund resources	27.9	27.7	10.9	-6.9	-27.7	-10.6	-44.4	-23.9
Drawings	47.9	54.3	41.6	23.8	17.9	35.2	0.0	0.0
Repayments	-20.0	-26.5	-30.7	-30.7	-45.6	-45.8	-44.4	-23.9
Payments arrears (reduction -)	-161.9	-60.1	0.0	0.0	0.0	0.0	0.0	0.0
Financing gap	0.0	0.0	0.0	0.0	8.3	7.7	24.0	25.6
Memorandum items:								
Current account in percent of GDP								
Including gross official transfers	0.1	-0.5	-1.9	-1.2	-1.2	-0.8	-0.6	-0.1
Excluding gross official transfers	-9.3	-7.9	-8.0	-7.2	-6.7	-6.3	-5.4	-4.8
Exchange rate (CFAF/SDR)	795.0	757.1	739.9	742.8	738.8	788.9	794.4	799.6

Sources: Data provided by the Senegalese authorities, and staff estimates and projections.

1/ From 1996, after ODA debt cancellation granted by France in 1994.

2/ Including private capital, revaluation of BCEAO assets, and errors and omissions.

3/ Including debt rescheduling from the Paris Club and other official bilateral creditors, and, until 1997, commercial bank debt rescheduling requested in 1994, and subject to a debt reduction operation in late 1996.

4/ Based on the debt cancellation of SDR 176.7 million granted by France in early 1994.

Table 9. Senegal: Key Indicators of External Indebtedness, 1996-2001

	Stock at end-1996	1997	1998	1999	2000	2001
(In billions of CFA francs, unless otherwise specified)						
Total debt service 1/	1900.5	166.5	163.2	148.0	156.0	155.4
Principal 1/	1875.9	107.2	105.8	94.3	104.8	108.7
Interest 1/	24.6	59.4	57.4	53.7	51.2	46.7
Scheduled debt service on existing contracted debt		165.0	159.7	143.5	150.1	147.8
Principal	1875.9	107.2	105.8	94.3	104.8	108.7
Medium- and long-term	1875.9	107.2	105.8	94.3	104.8	108.7
Multilateral 2/	1166.9	70.5	70.7	54.9	47.2	50.0
Official bilateral	701.5	36.6	35.1	39.4	57.6	58.7
Paris Club	416.4	23.4	18.3	22.9	41.2	43.7
Post-cutoff date	132.8	12.7	6.4	7.2	10.0	11.8
Pre-cutoff date	283.6	10.7	11.9	15.7	31.2	31.9
Of which: not previously rescheduled	...	0.7	1.1	1.0	1.0	0.9
PRD on standard terms	...	7.4	2.9	2.9	2.9	2.9
PRD on Toronto terms	...	2.2	6.7	9.2	16.3	16.3
PRD on London/Naples terms	...	0.4	1.2	2.6	11.0	11.8
Other Official	285.1	13.2	16.8	16.5	16.5	15.0
Commercial 3/	7.5	0.0	0.0	0.0	0.0	0.0
Short-term	0.0	0.0	0.0	0.0	0.0	0.0
Interest	24.6	57.9	53.9	49.2	45.3	39.1
Medium- and long-term	0.0	52.2	49.0	45.4	42.1	36.5
Multilateral 2/	0.0	22.6	20.1	18.2	16.9	15.2
Official bilateral	0.0	29.5	28.9	27.2	25.2	21.3
Paris Club	0.0	24.1	23.6	22.3	20.6	17.7
Post-cutoff date	0.0	2.2	2.3	2.2	2.1	1.9
Pre-cutoff date	0.0	21.9	21.3	20.1	18.5	15.8
Of which: not previously rescheduled	0.0	0.3	0.2	0.2	0.2	0.2
PRD on standard terms	0.0	2.1	1.8	1.5	1.2	0.9
PRD on Toronto terms	0.0	11.3	10.8	10.1	9.1	7.6
PRD on London/Naples terms	0.0	8.2	8.5	8.3	8.0	7.1
Other Official	0.0	5.4	5.2	4.9	4.6	3.6
Commercial 3/	0.0	0.1	0.0	0.0	0.0	0.0
Short-term (including operations account)	24.6	5.6	4.9	3.8	3.1	2.6
Debt service on new borrowing		1.5	3.5	4.5	6.0	7.6
Principal		0.0	0.0	0.0	0.0	0.0
Interest		1.5	3.5	4.5	6.0	7.6
Memorandum items						
Total debt service before debt relief obtained		166.5	163.2	148.0	156.0	155.4
In percent of exports of goods and nonfactor services		19.2	17.7	15.1	15.0	14.2
Of which: multilateral		10.8	10.1	7.8	6.6	6.5
In percent of government total revenue		38.2	33.8	27.6	26.4	24.8
Of which: multilateral		21.5	19.2	14.2	11.6	11.3
Total debt service after debt relief obtained 4/		156.6	163.2	148.0	156.0	155.4
In percent of exports of goods and nonfactor services		18.1	17.7	15.1	15.0	14.2
In percent of government total revenue		35.9	33.8	27.6	26.4	24.8
(In millions of U.S. dollars, unless otherwise specified)						
Total debt stock	3,715.0	3,378.6	3,287.0	3,229.9	3,168.6	3,098.4
In percent of GDP	72.1	68.2	62.5	57.6	53.3	49.5
In percent of XGNFS	234.0	222.7	206.7	192.4	178.6	166.8
Total debt stock after rescheduling	3,685.7	3,378.6	3,287.0	3,229.9	3,168.6	3,098.4
In percent of GDP	71.5	68.2	62.5	57.6	53.3	49.5
In percent of XGNFS	232.2	222.7	206.7	192.4	178.6	166.8
Total debt stock (in NPV)	2,130.0	1,994.6	1,927.4	1,803.5	1,796.5	1,729.3
In percent of GDP	41.3	40.3	36.7	32.2	30.2	27.6
In percent of XGNFS	134.2	131.5	121.2	107.4	101.3	93.1

Sources: Data provided by the Senegalese authorities, and staff estimates and projections.

1/ Data may differ from Table 6, owing to rounding.

2/ Including IMF

3/ Excludes private nonguaranteed debt covered by Paris Club. Not including arrears on commercial debt that was subject to a debt reduction operation in December 1996.

4/ Debt relief includes the impact of the Paris Club agreements concluded in March 1994 and April 1995, the latter covering the period through August 1997 and debt relief provided by other bilateral donors.

Table 10. Senegal: External Debt Indicators, 1996 - 2015

(In percent unless otherwise indicated)

	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2010	2015	Average	
														1996-2005	2006-2015
Debt and debt-service indicators															
Debt-service ratio 1/	15.0	18.1	17.7	15.1	15.0	14.2	13.5	12.5	16.2	10.1	8.6	6.7	5.5	14.7	6.6
before restructuring obtained	18.6	19.2	17.7	15.1	15.0	14.2	13.5	12.5	16.2	10.1	8.6	6.7	5.5	15.2	6.6
Multilateral debt-service ratio 1/	9.5	10.8	10.1	7.8	6.6	6.5	6.5	6.2	5.9	5.3	4.7	3.5	2.6	7.5	3.4
Public sector debt-service															
as percent of revenues (excluding grants)	38.3	38.2	33.8	27.6	26.4	24.8	23.3	21.3	27.3	16.9	14.3	10.8	8.5	27.8	10.6
as percent of expenditures	33.7	35.5	34.2	29.6	29.3	27.8	26.1	23.8	30.2	18.7	15.8	11.7	9.7	28.9	11.6
NPV debt-export ratio	134.2	131.5	121.2	107.4	101.3	93.1	86.7	79.4	80.1	65.3	58.2	45.6	35.2	100.0	44.9
NPV as percent of revenues	276.4	261.3	230.7	195.8	153.0	162.4	149.5	135.4	135.2	109.4	96.6	73.3	54.7	180.9	72.3
Debt-GDP ratio	72.1	68.2	62.5	57.6	53.3	49.5	45.7	42.2	37.7	35.0	32.8	25.2	17.6	52.4	24.7
Multilateral debt-GDP ratio	44.2	41.8	38.5	36.0	34.2	32.6	30.9	29.1	27.4	25.9	24.6	20.7	16.8	34.1	20.4
Key assumptions/projections															
Real GDP growth	5.6	4.7	4.8	4.8	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.4	4.0
Export volume growth	2.1	1.5	5.0	4.8	4.7	4.6	4.4	4.3	4.3	4.0	4.0	4.0	4.0	4.0	4.0
Import volume growth	4.2	0.6	3.9	3.8	3.5	3.5	3.5	3.4	86.2	3.5	3.5	3.5	3.5	11.6	3.5
Terms of trade (% change)	-1.1	1.1	0.8	0.0	0.0	0.0	0.0	-0.1	0.1	0.0	0.0	0.0	0.0	0.1	0.0
Noninterest current account (% of GDP)	1.0	1.3	1.3	1.5	1.7	1.6	1.5	1.4	1.3	1.1	1.0	0.7	0.6	1.4	0.7
excluding official transfers	-5.0	-4.2	-3.6	-3.1	-2.7	-2.6	-2.4	-2.3	-2.1	-2.0	-1.9	-1.6	-1.1	-3.0	-1.5
Official transfers (% change in dollar terms)	-14.4	-11.7	-6.1	2.0	1.2	-0.6	-0.8	-0.8	-1.6	-1.5	-2.7	0.0	0.0	-3.4	-0.3
Gross official reserves (in months of imports)	2.8	3.4	1.9	1.8	...	...	...	...	...	...	...	...	...	2.5	0.0
Financing gap (% of GDP)	-	0.2	0.6	0.6	0.8	0.7	0.6	0.4	0.3	0.2	0.0	0.0	0.0	0.5	0.0
Sensitivity analysis															
Debt-service ratio in the event of :															
Lower export growth 2/	15.0	18.8	18.7	16.2	16.3	15.7	15.2	14.2	18.7	11.9	10.3	8.7	7.9	16.1	8.6
Stock of debt operation 3/	15.0	17.1	15.4	12.9	12.4	11.7	11.3	10.6	14.8	9.3	8.4	6.6	5.6	13.0	6.6

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

1/ Debt service in percent of exports of goods, nonfactor services.

2/ Assumes one percentage point lower export growth.

3/ Assumes Paris Club flow rescheduling on Naples Terms through end-1997, succeeded by a stock-of-debt operation.

Table 11. Senegal: Indicators of Fund Credit and Debt Servicing, 1995-2007

(In percent)

	1995	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007
Outstanding Fund credit/Quota 1/	196.2	190.4	182.8	145.4	125.4	111.0	93.3	75.8	53.8	31.8	15.2	5.2	0.7
Outstanding Fund credit to GDP 1/	7.3	6.4	6.1	4.5	3.7	3.1	2.4	1.9	1.2	0.7	0.3	0.1	0.0
Outstanding Fund credit 2/	22.9	20.7	19.8	14.9	12.2	10.2	8.2	6.4	4.3	2.4	1.1	0.4	0.0
Gross Fund financing/financing needs 3/	19.1	12.0	16.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Debt service to the Fund 2/	3.0	3.1	4.4	4.1	2.1	1.4	1.7	1.6	1.8	1.7	1.3	0.7	0.3
Debt service to the Fund/Total debt service 2/ 4/	15.0	16.8	22.7	22.8	13.8	9.6	11.7	11.6	14.8	10.8	12.5	8.6	4.6
Total debt service before rescheduling 2/ 4/	20.1	18.6	19.2	17.7	15.1	15.0	14.2	13.5	12.5	16.2	10.1	8.6	7.5
Debt rescheduling 2/	8.7	3.6	1.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total debt service after rescheduling 2/ 4/	11.4	15.0	18.1	17.7	15.1	15.0	14.2	13.5	12.5	16.2	10.1	8.6	7.5
Memorandum item:													
Exports of goods and nonfactor services (in millions of SDRs)	1,017.7	1,093.2	1,099.5	1,157.6	1,222.5	1,292.1	1,353.1	1,418.6	1,489.0	1,563.0	1,644.4	1,730.3	1,820.8

Sources: IMF, Treasurer's Department; data provided by the Senegalese authorities; and staff estimates and projections.

1/ Outstanding Fund credit includes SAF/ESAF loans and outstanding purchases.

2/ In percent of exports of goods and nonfactor services.

3/ Financing needs are defined to include current account deficit, amortization due, repurchases and repayments to the Fund, planned improvements in reserves, and reduction in external arrears.

4/ Total debt service is after ODA debt cancellation granted by France in 1994.

Table 12. Senegal: Selected Demographic and Social Indicators

Indicator	Latest single year 1970-75 1980-85		Most recent estimate, 1989-94	Sub- Saharan Africa
Population	(In units indicated)			
Total (thousands)	4,806	6,375	8,263	571,902
Annual growth rate (percent)	2.9	2.9	2.6	2.8
Urban population (percent of total)	34.2	37.9	41.8	30.6
Life expectancy (years)	43	45	50	52
Total fertility rate (births per woman)	6.5	6.7	5.8	5.9
Labor force				
Total, ages 15-64 (thousands)	2,242	2,883	3,630	254,250
Employment in agriculture (percent of total)	82	79	77	65
Education	(Percent of school age population)			
Primary school enrollment ratio	41	56	58	71
Male	48	67	67	77
Female	34	46	50	64
Secondary school enrollment ratio	10	14	11	24
	(In units indicated)			
Primary pupil/Teacher ratio (pupils per teacher)	42	46	59	40
Adult illiteracy rate (percentage of population ages 15 and above)	...	68	62	53
Females	...	81	77	54
Health and nutrition				
Population per hospital bed (persons)	775	...	1,923	1,316
Population per nurse	1,675	2,024	4,246	...
Infant mortality rate (per 1,000 live births)	122	97	64	92
Immunization (percentage, ages 0-5)				
Measles	...	40.0	45.0	51.4
DPT	...	54.0	54.0	53.5
Access to safe water (percentage of population)	...	...	52.7	49.0
Food production per capita (1987 = 100)	158	82	78	102

Source: Social Indicators of Development, 1996 (World Bank).

Dakar, May 20, 1997

Mr. Michel Camdessus
Managing Director
International Monetary Fund
Washington, D.C. 20431

Dear Mr. Camdessus:

1. In accordance with the provisions of the third annual arrangement under the enhanced structural adjustment facility (ESAF) approved by the Executive Board of the International Monetary Fund on January 13, 1997, the government of Senegal reviewed the economic and financial program for 1997 with an IMF mission. This review focused on developments during 1996 and the first quarter of 1997, the progress achieved in implementing the program, the outlook through the end of 1997, and the measures required to achieve the program objectives. The government of Senegal is committed to ensuring the full implementation of the reforms and measures set forth in the memorandum on economic and financial policies for 1996-97 and the policy framework paper (PFP) for 1997-99, as well as in this letter, which supplements the memorandum of November 1996.

2. **Progress made in 1996 and recent developments.** The program for 1997 was formulated in the context of a comprehensive medium-term adjustment strategy aimed at creating an environment conducive to strong and sustainable growth, the reduction of poverty, and the restoration of Senegal's domestic and external financial viability. To attain these objectives, the government intends to complete the fiscal consolidation process, accelerate structural reforms, and improve the regulatory framework in order to provide a more favorable environment for private sector activity. At the same time, the government will pursue its policy of withdrawing from production activities and will focus its resources on core functions, in particular, the development of human resources and investment in basic infrastructure. The main macroeconomic objectives of the 1997 program, as established last November, are to achieve a rate of growth of real GDP of at least 4.5 percent, keep annual inflation at 2-3 percent, and reduce the external current account deficit (excluding official transfers) to 6.7 percent of GDP in 1997. The program also seeks to maintain investment at 16.5 percent of GDP and raise domestic saving by nearly 1 percentage point of GDP, to 11.7 percent.

3. Economic developments in 1996 were generally very encouraging. Real GDP growth is currently estimated at 5.6 percent, primarily on account of an excellent harvest in 1995-96, strong growth in construction and public works, and a particularly large contribution from commerce. Inflation, as measured by the change in the GDP deflator, was lowered to 2.8 percent, and the average increase in the consumer price index (CPI) for Dakar fell from 8.1 percent in 1995 to 2.7 percent in 1996; in the first four months of 1997 inflation has remained subdued. The real effective exchange rate (based on relative CPIs) of the CFA franc depreciated by 2.4 percent in 1996, resulting in a further improvement in Senegal's

competitiveness. Export and import volumes increased less than anticipated—on the order of 2.1 percent and 4.2 percent, respectively—due to technical problems that temporarily slowed exports of groundnuts, chemicals, and fishery products, while cereals and petroleum product imports recorded smaller increases than expected. Imports of intermediate and capital goods increased in line with investment. At the same time, Senegal's terms of trade are estimated to have deteriorated less than expected, contributing to a reduction of the external current account deficit (excluding official transfers) from 7.9 percent of GDP in 1995 to about 7.2 percent of GDP in 1996. After relatively modest growth in 1996, exports of chemical products picked up strongly in late 1996 and during the early months of 1997.

4. In 1996, total external budgetary assistance was slightly below expectations as a result of practical difficulties in mobilizing a bilateral assistance. Disbursements during the first quarter of 1997 were largely carried out as planned. In addition, a concessional loan from Taiwan in the amount of CFAF 45.4 billion for financing investment projects included in the three-year public investment program for 1997-99 was disbursed in full. Finally, on December 23, 1996 a commercial debt reduction operation was finalized with the London Club banks. The terms included an average price of 20 cents per U.S. dollar of eligible debt principal, with a creditor participation rate of 96 percent, including all of Senegal's major creditor banks. The total cost of the operation is estimated at US\$15 million, of which US\$12.2 million was financed by grants from the World Bank, France, the Netherlands, and Switzerland; the government of Senegal assumed US\$2.8 million of the cost.

5. As the attached table shows, the benchmarks for end-December 1996 were met, with the exception of the benchmark on government revenue, because of a delay in the collection of privatization receipts. The quantitative performance criteria and benchmarks for end-March 1997 were met, and government revenue exceeded slightly the level programmed for the first quarter of 1997. The structural measures called for in the program were implemented. There was a slight delay, however, in the delivery of a detailed report on strengthening the tax and customs administrations. The delivery of the report to the IMF staff by end-March 1997 constituted a structural performance criteria.¹

6. The overall budget deficit (on a commitment basis, excluding grants) was reduced from 3.2 percent of GDP in 1995, to 2 percent in 1996, and, for the first time, the basic fiscal balance recorded a surplus of 1 percent of GDP, in line with the program.² The continued efforts to strengthen tax and customs administrations, broaden the tax base, and combat fraud were reflected in an increase in tax revenue of nearly 0.5 percentage point of GDP, to 14 percent of GDP in 1996. Petroleum revenue was generally in line with the program. In the

¹The report was completed in March but not delivered to the IMF staff until April due to a number of inadvertent administrative delays.

²The basic balance is defined as government revenue minus total expenditure excluding externally-financed investment.

first quarter of 1997, tax revenue amounted to CFAF 103 billion, or CFAF 1 billion above target. This outcome was achieved despite a shortfall of about CFAF 2 billion in customs receipts, owing to a lower-than-projected level of rice imports and temporary technical problems with the computerized customs clearance system (GAINDE), which delayed custom clearance.

7. Total government expenditure was reduced by 1.3 percentage points of GDP in 1996, to 17 percent of GDP, slightly less than the program target. The wage bill was held below the benchmark and interest payments were also lower than programmed. However, the correspondents accounts at the Treasury registered a larger-than-expected deficit as the result of exceptional advances related to the liquidation of the price stabilization fund (CPSP) and drawings by public enterprises on their deposits with the Treasury. No domestic payments arrears were accumulated and all external debt service obligations were met on a timely basis. Social expenditures continued their trend increase, with public health expenditure rising 3 percent in 1996 and education increasing 3.4 percent. The shares of public health and education spending in non-interest current expenditure was 6.7 percent and 31 percent, respectively, in 1996. Throughout the first quarter of 1997, the level of expenditure was contained within the envisaged limit. The wage bill was substantially less than expected, largely as a result of delays in the settlement of promotions granted before 1995 (*rappels*), as well as savings on transportation related to structural problems within the urban transportation authority (SOTRAC). Conversely, the deficits of the special and correspondents accounts widened once again in the first quarter of 1997 as the result of advances on wages and pensions granted in connection with the Tabaski holiday and a subsidy granted to SOTRAC to cover expenditure related to payments for part of its personnel placed on technical unemployment.

8. Public administration reform has continued. The general payroll register and other key civil service records have been updated and are in the process of being computerized. Work has been initiated to evaluate the structures, organization charts, and staffing plans of the ministries, and to determine the human and physical resources that are required for carrying out the core functions of the government. The audit of extrabudgetary payments arrears accumulated prior to December 1993 has been completed; an amount of arrears on the order of CFAF 30 billion was confirmed, of which approximately CFAF 12 billion could be settled with an average discount of about 50 percent, reducing the total amount of arrears to be cleared to about CFAF 25 billion. Appropriate administrative measures have been taken to prevent the recurrence of these practices and stiffer penalties will be imposed on offenders. A three-year investment program was adopted in 1996 and its first quarterly performance indicators became available in April 1997.

9. Broad money increased by 8.4 percent in 1996, in line with the growth of nominal GDP. Net bank credit to the government declined by 4.4 percent on account of the improvement in the government's financial position. Credit to the economy posted a significant upturn of 20.5 percent, which was used to finance the strong growth in the construction, industry, and trade sectors, in particular the increased volume of rice imports.

The net domestic assets of the Central Bank of West African States (BCEAO- Senegal), excluding government securities, increased only slightly in 1996, and remained well below the program ceilings. In light of these developments, Senegal's contribution to the net foreign assets of the BCEAO was higher than expected. With the decline of inflation in the West African Economic and Monetary Union (WAEMU), the BCEAO continued to lower its discount rate, which was reduced in four successive steps from 7.5 percent at the end of 1995 to 6.25 percent on February 17, 1997. Market-determined interest rates also fell, notably the money market rate and banks' average prime lending rate—the latter falling by about 1 percentage point since the end of 1995 and now standing at 8.5 percent.

10. Following a slowdown throughout most of 1996, the privatization program regained momentum in late 1996 and early 1997, with the selection of a consortium of buyers for one third of the capital of SONATEL (the telecommunications company) and the launching of a call for bids for the sale of the government's share in SONATRA-Air Senegal, the Société sénégalaise des phosphates de Thiès (SSPT), and the Société propriétaire de l'Hôtel de l'union-Teranga (SPHU-Teranga). In addition, the Agence sénégalaise pour le commerce extérieur (ASACE) was converted into a new company, with a majority of private shareholders, and the government's assets in the Société des habitations modernes (HAMO) were put up for sale. In advance of the timetable agreed upon in November 1996, the Société immobilière du Cap Vert (SICAP) was put up for sale, and negotiations with a private operator for the management of Dakar-Marine are in their final stages. Negotiations with the buyer originally selected for SONATEL broke off in mid-April 1997 because of problems within the consortium chosen as buyer; discussions with another potential buyer are in progress, however, and the operation should be concluded before the end of September 1997. Regarding SONATRA-Air Senegal, the initial call for bids was unsuccessful because the offer received was financially unsatisfactory; a second call for bids was launched and publicized more widely. A buyer has been chosen for the government's share in SSPT and negotiations are being finalized. Finally, the government continued to improve its quarterly monitoring of the financial position of public enterprises, and has reported the data to the IMF staff; data management is now largely computerized.

11. With respect to the reform of the energy sector, a letter of development policy for the energy sector agreed with the World Bank was signed in February 1997 and approved at an interministerial meeting chaired by the prime minister. The letter of development policy, which contains a new timetable that extends some deadlines envisaged in the memorandum on economic and financial policies and the PFP of November 1996, calls for the implementation of regulatory and statutory reforms—including those allowing for the privatization of SENELEC—before the end of the year. The interministerial steering committee and the technical unit responsible for designing, implementing, and monitoring the energy reform project have both been established. A preliminary study on the reform of the structure of petroleum products pricing and taxation has been carried out by the staff of the Ministry of Finance. The study highlights the distortions created by the current system and presents alternative scenarios to illustrate the impact on government revenue and on retail prices of reductions in subsidies and petroleum taxes.

12. **Program for 1997.** Building on the progress achieved in 1996, the government will pursue the implementation of its program with determination and will accelerate the reform process as much as possible. The macroeconomic outlook for 1997 is expected to be significantly more favorable than that described in the memorandum on economic and financial policies and the PFP of November 1996. The real rate of growth in nonagricultural GDP is likely to exceed 6 percent (compared with 5 percent in 1996), thanks to higher growth in the fishery, industrial, construction and public works, and services sectors. The extent to which growth might exceed this forecast cannot be precisely predicted at this stage, because of difficulties in assessing the contribution of commerce. Higher growth expected in nonagricultural sectors should more than offset the negative impact of irregular rainfall during the winter of 1996 on agricultural production (especially groundnuts), which might limit overall growth to 4.7 percent in 1997, slightly higher than in the initial program projection.³ The external current account deficit (excluding official transfers) is expected to be reduced to 6.3 percent of GDP, slightly lower than in the program, as a result of a larger than anticipated upturn in the volume of nonagricultural exports (on the order of 6.5 percent), a substantial rise in tourism revenues, and a slowdown in the growth of imports. The increase in imports of capital and intermediate goods is expected to be offset by a decrease in rice imports, reflecting the running down of stocks accumulated in 1996. The reduction of the external current account deficit is also due to a slight improvement in Senegal's terms of trade. Inflation is expected to remain below 3 percent, in line with the program.

13. On the basis of the 1997 budget submitted to the National Assembly in December 1996, the overall fiscal deficit (on a commitment basis and excluding grants) will be reduced to 1.1 percent of GDP, and the basic fiscal surplus will rise to 2 percent of GDP. Total government revenue is expected to increase by 10.7 percent in 1997, to CFAF 436.4 billion, despite a slight shortfall in oil revenues. The government will continue to implement the measures adopted in 1996 and early 1997 to enhance revenue collection and broaden the tax base in order to increase the tax yield by about half a percentage point, to 14.3 percent of GDP, without resorting to higher tax rates. In this context, the single taxpayer registration system, which became operational on January 1, 1997, is expected to facilitate the process of reconciling taxpayers' records and the systematic auditing of tax returns. Other measures likely to improve the tax yield in 1997 include: the closer monitoring of large taxpayers, the computerization of the VAT, the completion of the reorganization of the tax department, the systematic verification of the legality of customs exemptions at checkpoints, the strict monitoring of duty drawback procedures, the enhancement of the computerized system for

³The Senegalese authorities remain convinced that overall economic growth in 1997 will reach more than 6 percent on the basis of the available preliminary indicators in the commerce sector, which seem to point to further significant expansion in this sector in 1997. With a view to making a more thorough analysis of the contribution to GDP accounted for by the various components of the trade sector, the methodology used by the Senegalese authorities will be evaluated prior to the next mission.

customs clearance, the rigorous enforcement of the import verification program, and the strengthening of the human and physical resources of the tax and customs administrations. In addition, Senegal has signed a four-year fisheries agreement with the European Union, which should contribute CFAF 9 billion yearly to nontax revenues, well above the initial forecasts.

14. On the expenditure side, the government will limit current spending to 11.5 percent of GDP in 1997, as planned, while foreseeing an increase in the share of expenditure allocated for health, education, and the judicial system. The government wage bill will be kept within the envisaged limit and the number of civil servants will not exceed the current level (67,100). In the context of ongoing reforms to improve the efficiency of the civil service, a draft law introducing a merit-based promotion system for civil servants was submitted to the National Assembly during its May 1997 session, to replace an earlier draft law, which contained inadequacies related to the criteria for promotions. The new legislation will enable the government to better manage the various components of the wage bill and to limit the number of promotions from one grade to the next, which will be based solely on performance evaluations. A comprehensive, multiyear plan to reform public administration is currently being prepared, with technical assistance from the United Nations Development Program (UNDP) and the World Bank. An actuarial study of the National Retirement Fund (FNR) is in progress and should be completed by July 1997, with technical assistance from the International Labor Office (ILO); this study will recommend measures to carry out institutional reforms and to restore a durable financial equilibrium in 1998. In the meantime, the FNR's deficit is projected to be CFAF 1.5 billion in 1997. The liquidation of the CPSP will be completed by the end of the year and no additional advances will be granted to SOTRAC. The deficit for Treasury special and correspondents accounts will thus be kept under CFAF 4 billion. A public expenditure review in the areas of health, education, and the judicial system will be carried out in consultation with World Bank staff by the end of 1997, identifying ways of improving the efficiency of government expenditure in these sectors.

15. Despite the delay in completing a number of privatizations, the government expects to obtain significant privatization receipts by the end of September 1997. These receipts will be allocated in part to reduce government debt, including the extrabudgetary domestic arrears, with the remainder used to finance investment projects included in the three-year public investment program. Once the revenue from privatization is in hand, the government will agree with IMF staff on the amounts of specific allocations and the corresponding timetable. Agreements on cross-debts with SONES, SNCS, and a number of other enterprises in the public enterprise sector have been finalized and will all be signed before June 30, 1997. Debit balances resulting from these agreements that are in favor of the enterprises will be paid promptly by the government, while those in favor of the government will be written off or collected according to a deferred payment plan to be determined in the case of solvent enterprises.

16. Senegal will continue to participate actively in initiatives aimed at promoting regional integration in Africa. In cooperation with other members of the WAEMU, the government is participating in the design of a common external tariff that will reflect the determination of the

governments involved to create a regional common market, to strengthen the competitiveness of their economies, and to promote trade with the rest of the world. The common external tariff, which will be introduced as of January 1, 1998, will have a reduced number of tax rates, will lower considerably the maximum rates, and will strictly limit customs exemptions. To encourage intraregional trade, tariff preferences applied to regional transactions will be expanded and all nontariff barriers will be removed. Senegal is also taking part in efforts to achieve regional harmonization of investment incentives and domestic taxation, particularly with respect to the VAT, excise taxes, and securities taxation. A regional plan to harmonize the legal and accounting systems applicable to government finance is also being prepared, in order to establish common ground in the organization of multilateral budgetary surveillance. A common accounting framework for all WAEMU enterprises has been prepared by the BCEAO and will take effect starting January 1, 1998. Finally, Senegal has been assigned an important role in implementing the Treaty on the Harmonization of Business Law (OHADA), which includes 16 member states, as well as in mobilizing the resources needed to finance the common institutions. The first series of "uniform acts" was recently approved by the Council of Ministers of Finance and Justice of the member states, in accordance with the opinion of the Common Court of Justice. These uniform acts will go into effect beginning January 1, 1998, in each of the member states.

17. Monetary policy, which is conducted by the BCEAO at the regional level, will remain prudent regarding credit and will continue to be guided by balance of payments objectives. According to projections, Senegal's broad money stock will grow by 9.3 percent in 1997, or slightly faster than nominal GDP. Given the expected improvement in its financial position, the government should be able to reduce its debt to the banking system, allowing ample room for the provision of credit to the private sector.⁴ As a result, credit to the economy should increase by 9.5 percent. The net domestic assets of the BCEAO (Senegal)—which primarily reflect changes in its position vis-à-vis the government—should decrease significantly in 1997. Senegal's contribution to the BCEAO's net foreign assets should continue to increase in 1997.

18. At this stage, the BCEAO's system for issuing central bank bills is expected to serve monetary policy objectives adequately under current conditions. However, the monetary authorities will work toward improving the indirect instruments available to the BCEAO and encouraging the development of a broader mix of negotiable debt securities, while ensuring that interest rates continue to be market-determined and competitive with those on international markets. The government will support the efforts of the WAMU's Banking Commission to enforce the prudential ratios and thus improve the soundness of Senegal's banking system. Concerning the debt of the former ONCAD, the government will make all

⁴The program benchmarks for net bank credit to the government for the months of June, September, and December 1997 were revised to take into account the disbursement of the Taiwan loan, the revised estimates for budgetary assistance, and drawings by public entities of credit balances with the Treasury. Indicators concerning the BCEAO's net domestic assets were adjusted accordingly (see attached table).

repayments due by end-December 1997, and will reschedule the balance for subsequent payment. The Banque Sénégal-Tunisienne (BST) will be restructured in order to ensure an adequate level of capital. The authorities will ensure that the efforts made to improve the financing of agricultural activities are carried out in accordance with sound banking practices and do not expose the government to any risk, bearing in mind the costs that were recently incurred to rehabilitate the agricultural bank (CNCAS).

19. While ensuring the implementation of the macroeconomic measures and the attainment of the objectives of the program described above, the government will make particular efforts to ensure that all structural measures and reforms planned for the period 1994–97 are duly carried out by the end of this year, given that these measures are necessary to achieve vigorous and sustainable growth in future years. The government is aware of the delays that have occurred, particularly in the privatization and the energy sector reform programs, and has made every effort to make up for these delays.

20. With respect to the reform and privatization of public enterprises, a number of calls for bids have still to be launched or re-initiated. To avoid delay, the authorities have expanded the unit responsible for executing the privatization program and have provided it with the required personnel and equipment, with technical assistance provided by the World Bank. The authorities will spare no effort to adhere to the privatization timetables originally established.⁵ In this context, the legal frameworks for privatizing the management of Dakar-Marine, SOTRAC, and the Dakar-Bamako line of the national railroad company (SNCS) will, depending on the case, be adopted by the government or submitted to the National Assembly by the end of June 1997. The urban transportation system should be substantially restructured and fully operational by September 1997 at the latest. Finally, the authorities will continue their timely preparation of comprehensive and detailed quarterly indicators on the financial operations of the main public enterprises.

21. In the energy sector, the government will implement the reform program described in the letter of development policy signed in February 1997, prepared in consultation with the World Bank. In particular, by December 1997, the importation, transportation, and distribution of petroleum products will be liberalized, the special privileges granted to the Société africaine de raffinage (SAR) will be abolished and replaced by a declining surtax on imported refined products, and the pricing and taxation system for petroleum products will be revised in light of the conclusions of the recently completed study. In addition, a new Petroleum Code will be submitted to the National Assembly in its October 1997 session, and PETROSEN's charter will be modified by the end of June 1997 in order to limit its activities to oil exploration and promotion. Concerning electricity, a law on the privatization of SENELEC (the electricity company) will be submitted to the National Assembly in

⁵ In addition to SICAP, mentioned in paragraph 10, the program envisages the offer for sale of SAPCO, SODIDA, SONADIS, MSAD, SONEPI, and of some of SOTEXKA's assets in 1997.

December 1997 at the latest. The call for bids to select an investment bank to prepare the privatization plan for SENELEC are being prepared with World Bank assistance and the consultants responsible for preparing the institutional reform for the electricity and petroleum sectors will be selected by the end of June 1997. In order to compensate for a substantial shortfall in electricity production prior to the privatization of the national company, SENELEC recently signed a build-own-operate-transfer (BOOT) contract with a private foreign firm, which will rely on foreign loans, in particular from the International Finance Corporation (IFC), to finance its investment. In order to execute this contract and obtain the necessary funding, a guarantee of payment reflecting the particular characteristics of a BOOT contract is required from the government. The guarantee of payment issued by the government in respect of SENELEC's liabilities to the private producer amounts to US\$20 million per year for the life of the contract. SENELEC will put in place a mechanism allowing it to deposit receipts in an account earmarked for the payments of its obligations under the power purchase agreement provided under the BOOT, which would reduce the probability of calling upon the government's guarantee. In light of the above, the guarantee of repayment of SENELEC's debt by the government has been excluded from the ceiling on nonconcessional loans contracted or guaranteed by the government.

22. The government will also vigorously pursue structural reforms in the other key sectors of the economy, in particular agriculture, transportation, and the judicial system. In the agricultural sector, the government plans to issue a second call for bids for the privatization of the Société nationale de commercialisation des oléagineux (SONACOS) as soon as the requirements for the successful completion of this operation are met. The restructuring of the cotton marketing company (SODEFITEX) is proceeding as expected, with the price of cotton sold to local mills being set on the basis of international prices. Moreover, despite the transitional difficulties encountered in certain sectors, particularly rice distribution, the government is determined to maintain price and trade liberalization, to enforce the rules of competition, and to encourage the dissemination of economic information and the organization of consumers. Finally, the reform program for the judicial system is proceeding as planned and should facilitate the adoption, before the end of the year, of major legislation regulating *inter alia* procedures for enforcing guarantees, the professions of judicial receivers and liquidators, arbitration, and relations between banks and their customers (bank charter). The human and physical resources of the judicial apparatus have also been strengthened.

23. Senegal continues to follow a prudent debt management policy, relying exclusively on foreign grants or long-term loans on highly concessional terms. Accordingly, the government will neither contract nor guarantee loans with a grant element of less than 35 percent, except for: (a) normal commercial credits of less than one year to finance imports; and (b) loans associated with debt rescheduling or refinancing. However, the zero ceiling on nonconcessional loans of more than one year has been raised by an amount not to exceed CFAF 10 billion by the end of 1997, to take into accounts two loans to be contracted with the West African Development Bank (BOAD). These loans will be used to finance commercial projects aimed at strengthening the regional integration process. All loans contracted or guaranteed by the government will be subject to prior authorization from the Ministry of

Economy, Finance, and Planning. The government will ensure that its external obligations are met in a timely fashion and will not accumulate any external payments arrears. The government will shortly submit to the Paris Club a request to have its bilateral debt restructuring agreement extended through the end of the period of the current ESAF arrangement from the Fund. This additional debt relief will cover the financing gap for the remainder of 1997. At the completion of the program, Senegal hopes to obtain from its Paris Club creditors a permanent restructuring of its stock of debt on appropriate terms.

24. The government of Senegal believes that the policies and measures described in this letter, which supplements the memorandum of November 7, 1996, will enable it to achieve the 1997 program objectives. The government will take any additional measures that may be necessary for this purpose. Finally, given that the appropriate measures have been taken to make up for delays in the implementation of the public enterprise reform, and that the study on the prospective reform of the pricing and taxation of petroleum products was completed, the government requests that the Fund grants a waiver for the nonobservance of the structural performance criteria concurring the date of delivery to the IMF staff of a detailed report on the strengthening of tax and customs administrations, which was received by IMF staff with a slight delay.

25. Senegal has made considerable progress in achieving fiscal consolidation and restructuring its economy during the period 1994–97. The government takes the view that while the results achieved thus far are very encouraging, they are not yet sufficient to have made a meaningful impact in terms of reducing unemployment and poverty. The government therefore intends to deepen a number of reforms aimed at strengthening growth prospects in the agricultural, industrial, and transportation sectors. These reforms should allow the government to refocus its activities, improve the efficiency of its interventions in crucial areas, complete its revision of the tax system, and facilitate the country's integration into the regional and global economies. The reforms should also be directed at achieving major improvements in the private sector environment and in the functioning of public administration, including the judicial system. In order to pursue this new generation of reforms, preserve the results achieved in the area of fiscal consolidation, and establish lasting credibility for its economic policies, Senegal will seek to obtain a new three-year arrangement under the ESAF when its current arrangement expires.

Sincerely yours,

Papa Ousmane Sakho
Minister of Economy, Finance and Planning

Table 1. Senegal: Quantitative and Structural Performance Criteria and Benchmarks Under the Third Annual Arrangement Under the Enhanced Structural Adjustment Facility, July 1996-June 1997
(In billions of CFA francs)

	Amount at end-Dec. 1995	Change from Jan. 1, 1996 to Dec. 31, 1996					Change from Jan. 1, 1997 to Dec. 31, 1997									
		September	December			Est.	March			June		Sept.	Dec.			
		Actual	Prog.	Adj.	Performance Criteria		Benchmarks		Prog.	Rev. prog.	Indicators					
					Prog.		Adj.	Est.			Prog.	Rev. prog.	Prog.	Rev. prog.	Prog.	Rev. prog.
				prog. 10/			prog. 10/									
A. Performance Criteria																
1. Credit to the central government (net) 1/ 2/	343.9	-23.1	-21.2	-18.6	-23.6	4.8	-35.8	-40.8	-6.1	-32.2	-0.1	-21.7	-9.7	-37.9		
2. Net domestic assets of the central bank (BCEAO - Senegal) 1/ 3/	252.4	3.9	4.5	7.1	2.7	-2.5	-43.1	-45.6	-3.4	-17.8	-9.0	-1.3	-23.2	-15.3		
3. Payments arrears of the central government and public entities 4/																
Domestic	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
External	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
4. New external borrowing contracted or guaranteed by the central government on nonconcessional terms 5/																
One year or over 6/	...	0.0	8.8	0.0	0.0	0.8	0.0	0.0	0.0	10.0	0.0	10.0	0.0	10.0		
Less than 1 year 7/	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
B. Financial benchmarks																
1. Government budgetary revenue	366.2	289.4	402.5	402.5	394.3	102.0	102.0	103.0	212.1	212.1	315.0	315.0	436.4	436.4		
2. Wage bill	157.5	123.8	164.5	164.5	162.6	45.5	45.5	40.7	86.0	86.0	127.5	127.5	166.0	166.0		
3. Basic budgetary balance 8/	3.5	26.8	36.5	36.5	32.2	8.2	8.2	9.4	23.6	14.6	41.9	31.8	62.5	57.8		
C. Structural performance criteria																
						Date	Status									
1. Delivery to the IMF staff of a detailed report on the strengthening of the tax and customs administrations						End-March 1997	Received in April									
2. Adoption by the Council of Ministers of a reform program for the energy sector						End-March 1997	Respected									
D. Structural benchmarks																
1. Adoption of a three-year public investment program for the period 1997-99						End-March 1997	Respected									
2. Establishment of quarterly indicators on the execution of the public investment program						End-March 1997	Received in April									
3. Preparation of a study of the prospective reforms of the pricing and taxation of petroleum products and the mechanism for adjusting domestic prices						End-March 1997	Received in May									
4. Submission to the National Assembly of the legal framework for privatizing the management of three public enterprises						End-June 1997	Ongoing									
Memorandum item:																
External budgetary assistance 9/	150.6	50.4	80.0	77.4	77.4	16.6	16.8	16.8	28.3	23.5	29.0	24.2	30.6	31.6		
Projected use of Taiwan loan	0.0	0.0	0.0	0.0	0.0	5.0	5.0	5.0	10.0	10.0	10.0	15.0	15.0	15.0		

Source: Memorandum on economic and financial policies for 1996-97.

1/ The ceilings will be adjusted downward by the amount of external budgetary assistance in excess of that programmed. In the event of a shortfall in external budgetary assistance, as defined above, the ceilings will be adjusted upward by the amount of the shortfall up to a limit of CFAF 20 billion in 1996, and CFAF 10 billion in the first half of 1997. Ceilings will be adjusted on the basis of the use of Taiwan project loan compared to projected use.

2/ Excluding changes in the amount of securities issued against the consolidated public debt and held outside the banking system.

3/ Excluding the amount of securities issued against the consolidated public debt held by the BCEAO.

4/ To be tested on a continuous basis.

5/ Excluding the guarantee given by the government to SENELEC for the payment of its obligations under the Power Purchase Agreement in the context of the BOOT contract.

6/ Nonconcessional loans contracted or guaranteed by the central government with initial maturity of one year and over, excluding debt relief obtained in the form of rescheduling or refinancing.

7/ Short-term external debt contracted or guaranteed by the central government, with the exception of normal import-related credits and loans associated with debt relief operations.

8/ Budgetary revenue less total expenditure, excluding externally financed investment, for 1997 excluding privatization receipts, which will be treated as a financing item.

9/ Including grants, loans, and debt rescheduling, but excluding project aid.

10/ Ceilings adjusted in accordance with program provisions, reflecting disbursements of external budgetary assistance of CFAF 77.4 billion at end-December 1996, and CFAF 16.8 billion at end-March 1997. In addition, the ceiling for March 1997 was adjusted for the non-used part (CFAF 40.4 billion) of an exceptional project loan to finance investment projects during 1997-99.

Senegal - Relations with the Fund

(As of June 30, 1997)

I. Membership Status: Joined August 31, 1962; Article VIII as of June 1, 1996

II. General Resources Account:	<u>SDR million</u>	<u>Percent of quota</u>
Quota	118.90	100.0
Fund holdings of currency	144.65	121.7
Reserve position in the Fund	1.31	1.1

III. SDR Department:	<u>SDR million</u>	<u>Percent of allocation</u>
Net cumulative allocation	24.46	100.0
Holdings	0.70	2.8

IV. Outstanding Purchases and Loans:	<u>SDR million</u>	<u>Percent of quota</u>
Stand-by arrangements	27.05	22.8
SAF arrangements	2.55	2.1
ESAF arrangements	193.80	163.0

V. Financial Arrangements:

<u>Type</u>	<u>Approval date</u>	<u>Expiration date</u>	<u>Amount approved (SDR million)</u>	<u>Amount drawn (SDR million)</u>
ESAF	August 29, 1994	January 12, 1998	130.79	112.96
Stand-by	March 2, 1994	August 29, 1994	47.56	30.91
ESAF	November 21, 1988	June 2, 1992	144.67	144.67

VI. Projected Obligations to the Fund (SDR million; based on existing use of resources and present holdings of SDRs):

	<u>Overdue 03/31/97</u>	<u>1997</u>	<u>1998</u>	<u>Forthcoming 1999</u>	<u>2000</u>	<u>2001</u>
Principal	--	24.7	44.4	23.9	17.1	21.1
Charges/interest	--	1.5	2.5	1.7	1.6	1.5
Total	--	26.2	46.9	25.6	18.7	22.6

VII. Exchange Rate Arrangement

Senegal is a member of the West African Monetary Union. The exchange system, common to all members of the Union, is free of restrictions on the making of payments and transfers for current international transactions.^{1/} The Union's common currency, the CFA franc, had been pegged to the French franc at the rate of CFAF 1 = F 0.02. Effective January 12, 1994, the CFA franc was devalued and the new parity set at CFAF 1 = F 0.01. On May 30, 1997, the rate of the CFA franc in terms of the SDR was SDR 1 = CFAF 800.47.

VIII. Article IV Consultations

Senegal is on the standard 12-month Article IV consultation cycle. The 1996 Article IV consultation was completed by the Executive Board on June 28, 1996 (EBS/96/92 and SM/96/138).

IX. Technical Assistance

<u>Department</u>	<u>Type of Assistance</u>	<u>Time of Delivery</u>	<u>Purpose</u>
FAD	Staff/member of fiscal panel	March 1988	Budgeting and treasury accounting
FAD	Staff/two members of fiscal panel/ World Bank consultant	February 1989	Fiscal reform and taxation of petroleum products
FAD	Resident expert	November 1991- January 1994	Reform of customs administration
STA	Staff	July 1992	Compilation of balance of payments
FAD	Headquarters-based consultant	December 1993	Harmonization of indirect taxation in the WAMU
FAD	Staff	November- December 1994	Advising on social safety net issues
FAD	Staff	February- March 1996	Strengthening of tax and customs administration

X. Resident Representative

Stationed in Dakar since July 24, 1984.

^{1/}The staff is keeping under active review all developments in Senegal's exchange system that may involve Fund jurisdiction.

Senegal - Relations with the World Bank Group

(As of June 30, 1997)

Commentary on lending operations

1. Bank assistance strategy in Senegal seeks: (i) rapid, sustainable, and broad-based economic growth through policy and regulatory reforms aimed at improving productivity and eliminating constraints to private sector development and employment generation; (ii) increased human resources development and broader access to social services; (iii) targeted actions to address the needs of the most vulnerable groups; and (iv) measures to reduce costs and supply rigidities in key sectors. The instruments to support these objectives have been adjustment lending buttressed by appropriate technical assistance operations and sector-based rehabilitation/investment projects.

2. As of June 30, 1997, the World Bank had approved 103 operations in Senegal for a total amount, less cancellations, of US\$1,523 million, consisting of 83 IDA credits (including 3 special fund credits and two SFA) for US\$1,393.7 million and 20 Bank loans for US\$129.3 million. Past projects have supported agricultural diversification, irrigation, human resources development, institutional development, and expansion of the country's infrastructure, particularly its transport system. In recent years, emphasis has shifted to better utilization and maintenance of existing facilities, and to helping the government resolve some of the key issues related to long-term development prospects. The current portfolio includes operations in agriculture sector, human resources, infrastructure/urban development, industry, and private sector development. Projects approved this fiscal year (FY 97) include a supplementary credit for agricultural SECAL, a health project (endemic diseases control), an urban transport reform and capacity building project, a sustainable and participatory energy management project (IDA's portion of the Global Environmental Facility), and a regional power project which includes Senegal, Mali, and Mauritania.

3. As of May 31, 1997, IFC had 6 ongoing operations in Senegal for a total investment of US\$7.6 million. Ongoing IFC projects include three financial services, two food/agribusiness, and one fertilizer operation. The establishment of the Africa Enterprise Fund (AEF) has enhanced IFC's ability to reach smaller businesses.

4. The Bank and IFC will continue to coordinate their respective roles in developing policies in the areas of industry, private sector, and banking and finance. This coordination is enhanced by the IFC office opened in Dakar in February 1997.

<u>Lending operations</u>	<u>IBRD and IDA 1/</u>		<u>IFC loans/equity and investment participations 2/</u>		<u>Grand total</u>
	<u>Total commitments</u>	<u>Of which: undisbursed</u>	<u>Total commitments</u>	<u>Of which: undisbursed</u>	
Twenty loans and sixty-six credits fully disbursed	989.4	0.0	0.0	0.0	989.4
Structural adjustment and technical assistance	29.5	11.1	0.0	0.0	29.5
Agriculture, livestock, and forestry	51.7	8.3	1.3	0.0	56.6
Energy, industry, and tourism, and financial services	48.7	23.3	6.3	2.0	51.4
Transport, equipment, and telecommunications	71.6	22.9	0.0	0.0	71.6
Urban development, public works, education, and health	<u>332.2</u>	<u>175.5</u>	<u>0.0</u>	<u>0.0</u>	<u>332.2</u>
Total	1,523.1	241.1	7.6	2.0	1,530.6
Less: repaid or sold					194.6
Total outstanding					<u>1,336.0</u>
Held by					
IDA					1,309.8
IFC					
IBRD					14.5

Memorandum items:

<u>Annual IBRD/IDA operations 3/</u>	<u>Commitments</u>	<u>Disbursements</u>	<u>Repayments</u>
1985	24.0	26.8	5.4
1986	116.4	78.3	9.9
1987	97.0	95.4	10.3
1988	129.6	138.9	10.8
1989	21.6	48.8	11.0
1990 4/	156.6	93.1	11.6
1991	107.1	61.4	19.6
1992	43.7	100.5	13.1
1993	40.0	53.6	15.5
1994 4/	25.0	60.7	15.2
1995	218.9	70.5	17.2
1996	41.9	89.2	17.1
1997	39.0	109.3	15.3

Source: World Bank Group.

1/ Excludes cancellations.

2/ IFC figures as of May 31, 1997.

3/ During fiscal year ending June 30.

4/ Commitments excluding cancellations (1990 cancellations=US\$23.99 million, 1994 cancellations=US\$3.73 million).

Senegal - Statistical Issues

Overall, Senegal's economic data base is comprehensive, but there are weaknesses in the areas of the national accounts and production, the consumer price index (CPI), international trade, and the balance of payments. The authorities are continuing their efforts to improve the quality and availability of data. They are making appropriate arrangements to ensure that the legal provisions requiring economic agents to report statistical information on a timely basis are enforced.

1. Real sector

The national accounts data suffer from deficiencies in their compilation. Finalized data are based on returns from more than 1,000 firms, a process that typically takes up to three years. Preliminary data are often subject to substantial revisions, partly because they are increasingly based on the use of an input-output simulation model that was developed with French technical assistance, and less on the analysis of a sample of 300 enterprises. The industrial production index is based on a highly outdated sample, and developments in the tertiary sector are difficult to monitor since the regular preparation of a business survey has been discontinued. The CPI coverage is limited to Dakar, and is based on 1967 weights. Currently, the CPI compilation is being improved with technical assistance from INSEE/EUROSTAT. The results of a household budgetary survey undertaken in 1991/92 are currently being processed, and they will be used to update the CPI weights. Trade data are incomplete owing to the time taken by the customs directorate to report trade flows to the BCEAO, which may take up to three years.

2. Public finances

GFS data are compiled by the Ministry of Finance from the following three sources: the Customs, the Tax, and the Treasury directorates. GFS data have not been reported by the authorities to the Statistics Department for many years. The latest data reported for Senegal were published in the 1990 GFSY and covered consolidated central government through 1984. However, comprehensive fiscal data are provided regularly without delays to the African Department on a quarterly basis.

3. Monetary data

Monetary data for Senegal are prepared by the National Agency of the BCEAO. Outstanding data problems include the lengthy time period needed to finalize the data, and some inconsistencies between the balance sheets of the BCEAO and the commercial banks.

Monetary data still include assets and liabilities of banks that have long ceased banking operations, but whose liquidation has never been formally completed. The standardization of computer-based reporting procedures being pursued by BCEAO headquarters should result in a significant shortening of the reporting lags. The introduction of a new accounting system for commercial banks by the BCEAO on January 1, 1996 has resulted in delays in the compilations of monetary statistics. STA mission in money and banking statistics will be visiting BCEAO headquarters at the end of July 1997 to assist the authorities in resolving data reporting and classification issues.

A money and banking statistics course was held in Senegal in April 1995. BCEAO member countries have subsequently requested the Fund to organize additional training courses in money and banking statistics and in other statistical areas.

4. Balance of payments data

Balance of payments data for Senegal are compiled by the BCEAO national agency. There are several shortcomings in the compilation procedures: (i) trade data for goods other than the main export and import categories are incomplete and reported with lengthy delays; (ii) bank settlements reports are not processed by the BCEAO; (iii) surveys sent to companies were often inaccurately answered or unanswered; and (iv) there is little information on private capital flows. Efforts are being undertaken to address these issues. A long-term technical advisor has been posted at BCEAO-headquarters to provide technical assistance to all BCEAO-member countries. Enhancing the capacity of the computerized data compiling system of the customs should also help reduce delays in reporting.

Senegal: Core Statistical Indicators

(As of June 30, 1997)

	Exchange Rates	International Reserves	Central Bank Balance Sheet	Reserve/ Base money	Broad Money	Interest Rates	Consumer Price Index	Exports/ Imports	Current Account Balance	Overall Government Balance	GDP/GNP	External Debt
Date of Latest Observation	Current	3/97	3/97	3/97	3/97	5/97	5/97	3/97	1996	3/97	1996	12/96
Date Received	Current	5/97	5/97	5/97	5/97	6/97	6/97	5/97	5/97	5/97	5/97	5/97
Frequency of Data	Daily	Monthly	Monthly	Monthly	Monthly	Variable	Monthly	Quarterly	Annually	Quarterly	Annually	Quarterly
Frequency of Reporting	Monthly	Monthly	Monthly	Monthly	Monthly	Weekly	Monthly	Semi-Annually	Semi-Annually	Quarterly	Semi-Annually	Semi-Annually
Source of Update	EIS/TRE	BCEAO	BCEAO	BCEAO	BCEAO	BCEAO	Ministry of Finance	BCEAO	BCEAO	Ministry of Finance	Ministry of Finance	Ministry of Finance
Mode of Reporting	On line	Staff	Staff	Staff	Staff	Staff	Staff	Staff	Staff	Staff	Staff	Staff
Confidentiality	No	1/	1/	1/	1/	No	No	1/	1/	1/	1/	1/
Frequency of Publication	Monthly	Monthly	Monthly	Monthly	Monthly	Monthly	Monthly	Annually	Annually	Annually	Semi-Annually	Annually

1/ Preliminary data for staff use only; actual data unrestricted.